



Northbridge Energy plc

Annual Report 2025/26

Powering a fairer, cleaner energy system

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Strategic report

Our strategy, how we performed during the year and the principal risks we manage.

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Highlights

Our year at a glance. We now connect 8.4 million customers across our regional networks, an increase of 96,000 on the previous year. Reliability, safety and affordability improved together, and we delivered the largest programme of network investment in our history.

Headline numbers

Measure	2025/26	2024/25
Revenue (£m)	14,812	13,791
Underlying operating profit (£m)	3,127	2,864
Total dividend per share (pence)	36.15	33.48
Customers connected (million)	8.4	8.3

Our operating model separates long-term asset planning from day-to-day delivery, so that each team has clear accountability. Our strategy rests on three priorities: a reliable network, a cleaner generation mix and fair outcomes for customers. We published our updated “Clean Network 2030” roadmap, which sets out the milestones we will report against each year. Delivery of the plan depends on skilled people, so we continued to invest in training centres in the North East, Yorkshire and the Midlands.

A new framework contract with our alliance partners should shorten the time taken to energise major connections. Real-time data from smart meters helped our control room to restore supplies to many customers more quickly after faults. Overhead line inspections now use drones and thermal imaging, which has reduced the need for crews to work at height. Our connections team processed 231 applications for heat pumps and electric vehicle chargers each month on average. We replaced 680 kilometres of ageing underground cable and upgraded 6 primary substations during the year.

Translation and accessibility services were extended, and information is now available in 8 languages. Winter outreach visits reached 22,000 households, with advice on keeping warm and what to do in a power cut. Satisfaction among business customers improved, supported by named account managers for our largest connections.

We reviewed our portfolio during the year and concluded that our current mix of networks, flexible generation and customer services remains right. During the year we refreshed our long-term plan with the Board, stress-testing it against slower demand growth and faster electrification. Investment decisions are tested against a simple question: does this make the system safer, cleaner or more affordable for the people we serve? Management reviews the strategy with the Board twice a year and tests it against alternative views of the future energy system. Partnerships with local authorities and community groups helped us to shape connection plans for 10 new housing developments.

Flood defences at 6 substations were raised during the year in line with our adaptation plan. We reinforced the transmission corridor between the Tyne valley and the Humber to release capacity for new wind generation. Network losses were broadly flat, and we continued to replace the least efficient transformers first. Vegetation management moved to a risk-based cycle, concentrating resources on circuits with the highest fault history.

Complaints fell by 4% compared with last year, driven by faster responses to connection enquiries. Our independent customer panel met four times and reviewed our performance on both service and bills. Our contact centres answered 66,000 calls, and 65% of customers told us their issue was resolved at first contact. Proactive text messages about planned work reduced calls to our contact centres on the day of an outage.

Local energy plans developed with 9 councils now guide where we reinforce the network first. We measure progress against a balanced scorecard covering safety, reliability, customer service, financial discipline and carbon. We have continued to simplify how we work, moving routine planning decisions closer to the regional teams that know their networks best.

Storm Ailsa was the most severe event of the year; 71,000 customers were reconnected within the first 28 hours. Average power cut duration fell to 26 minutes per customer, our best result since reporting began. Smart-grid sensors now monitor 694 distribution transformers, allowing faults to be located remotely. Network losses were broadly flat, and we continued to replace the least efficient transformers first. Network losses were broadly flat, and we continued to replace the least efficient transformers first.

Chairman's statement

Dear shareholder,

It is my privilege to present the Annual Report for the year ended 31 March 2026, my third as Chair of Northbridge Energy plc. The Board is proud of what colleagues have achieved in a year that tested our networks, our supply chains and our people.

We measure progress against a balanced scorecard covering safety, reliability, customer service, financial discipline and carbon. During the year we refreshed our long-term plan with the Board, stress-testing it against slower demand growth and faster electrification. We published our updated "Clean Network 2030" roadmap, which sets out the milestones we will report against each year. Delivery of the plan depends on skilled people, so we continued to invest in training centres in the North East, Yorkshire and the Midlands. Partnerships with local authorities and community groups helped us to shape connection plans for 4 new housing developments.

The Board reviewed the Group's purpose, values and culture, drawing on survey results, whistleblowing reports and site visits. The Board approved a refreshed delegation of authority to support faster, better-informed decisions. We comply with the UK Corporate Governance Code, and any areas of departure are explained in this report.

The Government's clean power plan increases the importance of timely network investment, and we are working with the system operator on a joint approach. The regulator's annual review confirmed that we met or exceeded 5 of our 50 output commitments. We support the regulator's proposals to strengthen the licence conditions on governance and financial resilience. We engaged constructively with the regulator on the next price control, submitting our business plan on time.

Succession planning covers every executive role and the critical engineering positions beneath them. Wellbeing support includes confidential counselling, financial education and a menopause support network. Colleagues completed an average of 15 hours of training during the year, with a focus on digital and engineering skills. Our colleague networks for ethnicity, disability, LGBT+ and carers each have an executive sponsor. Engagement among colleagues remained high, with a survey response rate of 84% across every business unit.

We have continued to simplify how we work, moving routine planning decisions closer to the regional teams that know their networks best. Our strategy rests on three priorities: a reliable network, a cleaner generation mix and fair outcomes for customers. Management reviews the strategy with the Board twice a year and tests it against alternative views of the future energy system.

The Board visited the Tyneside control centre and two major substation projects to see operations and meet colleagues. Committee terms of reference were refreshed and are available on the Company's website. The Nomination Committee reviewed succession plans for the Board and for the senior leadership team. An externally facilitated Board evaluation concluded that the Board and its committees continue to operate effectively.

Price control reopeners allow us to adjust funding for projects whose scope or cost is uncertain at the start of the period. We responded to 19 consultations during the year, including proposals on network charging and market reform. Incentive mechanisms for customer service and reliability continue to reward performance above the regulatory baseline. Reforms to the planning system should shorten consenting times for new overhead lines and substations.

Our gender pay gap narrowed again, and women now hold 180% of senior leadership roles. Flexible working is available from day one, and 75% of office-based colleagues use some form of hybrid pattern. Voluntary turnover was lower than the sector average, helped by clearer career paths for field engineers. We continued to pay the real Living Wage to every employee and to the contractors we engage directly. We opened a second training academy in Leeds, which will train around 183 technicians a year.

Our operating model separates long-term asset planning from day-to-day delivery, so that each team has clear accountability. We reviewed our portfolio during the year and concluded that our current mix of networks, flexible generation and customer services remains right. Investment decisions are tested against a simple question: does this make the system safer, cleaner or more affordable for the people we serve?

Our regulatory reporting was externally assured, and no material issues were identified.

Local energy plans developed with 6 councils now guide where we reinforce the network first.

Changes to connection rules will help to release capacity for new demand more quickly and fairly.

Chief executive's review

This was a year of delivery. We invested more than ever before in our networks, connected record volumes of new demand and kept customers' energy bills as low as we responsibly could.

Operational performance

Vegetation management moved to a risk-based cycle, concentrating resources on circuits with the highest fault history. Average power cut duration fell to 38 minutes per customer, our best result since reporting began. Flood defences at 8 substations were raised during the year in line with our adaptation plan. A new framework contract with our alliance partners should shorten the time taken to energise major connections. Real-time data from smart meters helped our control room to restore supplies to many customers more quickly after faults.

Availability of our gas-fired peaking plant was 62% during periods of system stress, which is above the contracted level. We completed the planned inspection of all 5 hydro turbines and replaced the runners on two units. Capacity market agreements now cover the majority of our flexible capacity for the next four delivery years. Load factors on our onshore wind fleet were broadly in line with the long-term average for the year.

The Priority Services Register now supports 66,000 customers who benefit from additional help during an outage. Satisfaction among business customers improved, supported by named account managers for our largest connections. We partnered with 14 charities to extend support for customers in vulnerable circumstances. Customers can now book connection appointments online, and the median wait for a quotation fell by 14 days. We launched a new app that lets customers report and track faults, and 89% of reports now arrive digitally.

Digital twins of 100 substations are now used to plan outages and test upgrade options before work starts. Our innovation fund backed 12 pilots, including a trial of dynamic network pricing with 909 participating households. Open data portals now publish half-hourly network capacity maps for developers and local authorities.

Colleagues completed an average of 32 hours of training during the year, with a focus on digital and engineering skills. We welcomed 392 new apprentices and graduates, and 74% of our workforce now has a development plan agreed with their manager. Flexible working is available from day one, and 64% of office-based colleagues use some form of hybrid pattern. Succession planning covers every executive role and the critical engineering positions beneath them. Engagement among colleagues remained high, with a survey response rate of 86% across every business unit.

Supply chain due diligence covers every supplier with annual spend above £77,000, including labour standards checks. Prompt payment performance remained strong – 73% of undisputed invoices were paid within 30 days. We spent £326 million with local suppliers, and 83% of our spend is with small and medium-sized businesses. Lead times for large transformers remain long, so we placed framework orders early to protect our delivery plan. We held supplier days in Newcastle and Manchester to explain our pipeline of work over the next five years.

We replaced 627 kilometres of ageing underground cable and upgraded 17 primary substations during the year. Smart-grid sensors now monitor 591 distribution transformers, allowing faults to be located remotely. Our connections team processed 366 applications for heat pumps and electric vehicle chargers each month on average.

Our wind and solar portfolio generated 747 GWh during the year, supported by high availability across all 17 sites. We commissioned two further battery storage sites, adding 160 MW of fast-response capacity to the system. Offshore wind output was affected by an unusually calm autumn, partly offset by strong spring and winter wind speeds. The refurbishment of the Harrowgate pumped-storage station was completed 20 days ahead of schedule and within budget.

Proactive text messages about planned work reduced calls to our contact centres on the day of an outage. Our community energy programme helped 669 households to reduce bills through insulation and efficiency advice. Our independent customer panel met four times and reviewed our performance on both service and bills. Translation and accessibility services were extended, and information is now available in 16 languages. Complaints fell by 19% compared with last year, driven by faster responses to connection enquiries.

Machine-learning models help prioritise inspections, reducing the number of unnecessary site visits. We trialled hydrogen-ready switchgear at one site, which could simplify future conversions. A partnership with a university research centre is helping us to forecast local demand at street level. Digital twins of 150 substations are now used to plan outages and test upgrade options before work starts.

We opened a second training academy in Leeds, which will train around 920 technicians a year. Wellbeing support includes confidential counselling, financial education and a menopause support network. Our gender pay gap narrowed again, and women now hold 170% of senior leadership roles.

Our supplier code of conduct was refreshed to include requirements on carbon reporting and responsible sourcing. Modern slavery risk assessments were updated and 5 high-risk suppliers received on-site audits. Dual sourcing has been introduced for the most critical categories of switchgear and protection equipment. Our supplier code of conduct was refreshed to include requirements on carbon reporting and responsible sourcing. We spent £789 million with local suppliers, and 61% of our spend is with small and medium-sized businesses.

We reinforced the transmission corridor between the Tyne valley and the Humber to release capacity for new wind generation. Storm Ailsa was the most severe event of the year; 16,000 customers were reconnected within the first 38 hours. Network losses were broadly flat, and we continued to replace the least efficient transformers first.

The Ravensworth solar farm reached full output in November and now supplies enough electricity for around 29,000 homes. Biodiversity surveys at each generation site informed the design of habitat management plans that will run for the life of the asset. A new control room in Newcastle now coordinates dispatch across our wind, solar and storage assets from a single platform. Maintenance outages were concentrated in the summer months to protect availability during the winter peak. Biodiversity surveys at each generation site informed the design of habitat management plans that will run for the life of the asset.

Our contact centres answered 79,000 calls, and 91% of customers told us their issue was resolved at first contact. Winter outreach visits reached 15,000 households, with advice on keeping warm and what to do in a power cut. Proactive text messages about planned work reduced calls to our contact centres on the day of an outage. Our contact centres answered 11,000 calls, and 86% of customers told us their issue was resolved at first contact. Our independent customer panel met four times and reviewed our performance on both service and bills.

Digital twins of 110 substations are now used to plan outages and test upgrade options before work starts. We trialled hydrogen-ready switchgear at one site, which could simplify future conversions. A partnership with a university research centre is helping us to forecast local demand at street level.

Our colleague networks for ethnicity, disability, LGBT+ and carers each have an executive sponsor. Voluntary turnover was lower than the sector average, helped by clearer career paths for field engineers. A new returners programme attracted 10 experienced engineers back into the industry. We continued to pay the real Living Wage to every employee and to the contractors we engage directly. Our colleague networks for ethnicity, disability, LGBT+ and carers each have an executive sponsor.

Lead times for large transformers remain long, so we placed framework orders early to protect our delivery plan. Modern slavery risk assessments were updated and 19 high-risk suppliers received on-site audits. Supply chain due diligence covers every supplier with annual spend above £51,000, including labour standards checks. Prompt payment performance remained strong – 70% of undisputed invoices were paid within 30 days.

Overhead line inspections now use drones and thermal imaging, which has reduced the need for crews to work at height. Smart-grid sensors now monitor 939 distribution transformers, allowing faults to be located remotely. Storm Ailsa was the most severe event of the year; 51,000 customers were reconnected within the first 6 hours.

Availability of our gas-fired peaking plant was 95% during periods of system stress, which is above the contracted level. The Ravensworth solar farm reached full output in November and now supplies enough electricity for around 34,000 homes. We commissioned two further battery storage sites, adding 199 MW of fast-response capacity to the system.

Complaints fell by 9% compared with last year, driven by faster responses to connection enquiries. Translation and accessibility services were extended, and information is now available in 18 languages. Proactive text messages about planned work reduced calls to our contact centres on the day of an outage. Winter outreach visits reached 72,000 households, with advice on keeping warm and what to do in a power cut.

Our innovation fund backed 14 pilots, including a trial of dynamic network pricing with 351 participating households. We trialled hydrogen-ready switchgear at one site, which could simplify future conversions. Our innovation fund backed 15 pilots, including a trial of dynamic network pricing with 926 participating households.

Our colleague networks for ethnicity, disability, LGBT+ and carers each have an executive sponsor. Succession planning covers every executive role and the critical engineering positions beneath them. Our colleague networks for ethnicity, disability, LGBT+ and carers each have an executive sponsor. A new returners programme attracted 11 experienced engineers back into the industry.

Supply chain due diligence covers every supplier with annual spend above £37,000, including labour standards checks. We held supplier days in Newcastle and Manchester to explain our pipeline of work over the next five years. Our supplier code of conduct was refreshed to include requirements on carbon reporting and responsible sourcing. Supply chain due diligence covers every supplier with annual spend above £59,000, including labour standards checks.

Smart-grid sensors now monitor 233 distribution transformers, allowing faults to be located remotely. Vegetation management moved to a risk-based cycle, concentrating resources on circuits with the highest fault history. Smart-grid sensors now monitor 208 distribution transformers, allowing faults to be located remotely. Smart-grid sensors now monitor 604 distribution transformers, allowing faults to be located remotely.

A new control room in Newcastle now coordinates dispatch across our wind, solar and storage assets from a single platform. Availability of our gas-fired peaking plant was 61% during periods of system stress, which is above the contracted level. Offshore wind output was affected by an unusually calm autumn, partly offset by strong spring and winter wind speeds.

Our community energy programme helped 357 households to reduce bills through insulation and efficiency advice. Our community energy programme helped 767 households to reduce bills through insulation and efficiency advice. Winter outreach visits reached 74,000 households, with advice on keeping warm and what to do in a power cut. We partnered with 12 charities to extend support for customers in vulnerable circumstances.

Our innovation fund backed 10 pilots, including a trial of dynamic network pricing with 561 participating households. Open data portals now publish half-hourly network capacity maps for developers and local authorities. Machine-learning models help prioritise inspections, reducing the number of unnecessary site visits. Open data portals now publish half-hourly network capacity maps for developers and local authorities. Machine-learning models help prioritise inspections, reducing the number of unnecessary site visits.

Wellbeing support includes confidential counselling, financial education and a menopause support network. We opened a second training academy in Leeds, which will train around 640 technicians a year. Succession planning covers every executive role and the critical engineering positions beneath them.

Supply chain due diligence covers every supplier with annual spend above £62,000, including labour standards checks. Lead times for large transformers remain long, so we placed framework orders early to protect our delivery plan. Supply chain due diligence covers every supplier with annual spend above £15,000, including labour standards checks. Prompt payment performance remained strong – 73% of undisputed invoices were paid within 30 days.

Storm Ailsa was the most severe event of the year; 73,000 customers were reconnected within the first 40 hours. Network losses were broadly flat, and we continued to replace the least efficient transformers first. We reinforced the transmission corridor between the Tyne valley and the Humber to release capacity for new wind generation. Vegetation management moved to a risk-based cycle, concentrating resources on circuits with the highest fault history. Our connections team processed 549 applications for heat pumps and electric vehicle chargers each month on average.

Our independent customer panel met four times and reviewed our performance on both service and bills.

Machine-learning models help prioritise inspections, reducing the number of unnecessary site visits. A partnership with a university research centre is helping us to forecast local demand at street level. Open data portals now publish half-hourly network capacity maps for developers and local authorities.

Our business model

We own and operate electricity generation, transmission and distribution assets and serve customers across the North of England and the Midlands. The three parts of our business model reinforce one another.

Partnerships with local authorities and community groups helped us to shape connection plans for 10 new housing developments. We reviewed our portfolio during the year and concluded that our current mix of networks, flexible generation and customer services remains right. Management reviews the strategy with the Board twice a year and tests it against alternative views of the future energy system. During the year we refreshed our long-term plan with the Board, stress-testing it against slower demand growth and faster electrification. Our strategy rests on three priorities: a reliable network, a cleaner generation mix and fair outcomes for customers.

The Ravensworth solar farm reached full output in November and now supplies enough electricity for around 20,000 homes. A new control room in Newcastle now coordinates dispatch across our wind, solar and storage assets from a single platform. We commissioned two further battery storage sites, adding 495 MW of fast-response capacity to the system. Biodiversity surveys at each generation site informed the design of habitat management plans that will run for the life of the asset.

We replaced 604 kilometres of ageing underground cable and upgraded 13 primary substations during the year. A new framework contract with our alliance partners should shorten the time taken to energise major connections. Our connections team processed 712 applications for heat pumps and electric vehicle chargers each month on average. Network losses were broadly flat, and we continued to replace the least efficient transformers first. We reinforced the transmission corridor between the Tyne valley and the Humber to release capacity for new wind generation.

Satisfaction among business customers improved, supported by named account managers for our largest connections. Our community energy programme helped 810 households to reduce bills through insulation and efficiency advice. Complaints fell by 8% compared with last year, driven by faster responses to connection enquiries.

Our operating model separates long-term asset planning from day-to-day delivery, so that each team has clear accountability. We have continued to simplify how we work, moving routine planning decisions closer to the regional teams that know their networks best. Local energy plans developed with 11 councils now guide where we reinforce the network first. We published our updated “Clean Network 2030” roadmap, which sets out the milestones we will report against each year.

Our wind and solar portfolio generated 537 GWh during the year, supported by high availability across all 19 sites. We completed the planned inspection of all 4 hydro turbines and replaced the runners on two units. Maintenance outages were concentrated in the summer months to protect availability during the winter peak. Availability of our gas-fired peaking plant was 82% during periods of system stress, which is above the contracted level. Load factors on our onshore wind fleet were broadly in line with the long-term average for the year.

Smart-grid sensors now monitor 781 distribution transformers, allowing faults to be located remotely. Overhead line inspections now use drones and thermal imaging, which has reduced the need for crews to work at height. Average power cut duration fell to 12 minutes per customer, our best result since reporting began. Storm Ailsa was the most severe event of the year; 95,000 customers were reconnected within the first 9 hours.

Our independent customer panel met four times and reviewed our performance on both service and bills. The Priority Services Register now supports 46,000 customers who benefit from additional help during an outage. Our contact centres answered 20,000 calls, and 83% of customers told us their issue was resolved at first contact. Winter outreach visits reached 28,000 households, with advice on keeping warm and what to do in a power cut. Translation and accessibility services were extended, and information is now available in 15 languages.

Delivery of the plan depends on skilled people, so we continued to invest in training centres in the North East, Yorkshire and the Midlands. We measure progress against a balanced scorecard covering safety, reliability, customer service, financial discipline and carbon. Investment decisions are tested against a simple question: does this make the system safer, cleaner or more affordable for the people we serve? Local energy plans developed with 19 councils now guide where we reinforce the network first.

OUR BUSINESS MODEL

Generation

Our wind and solar portfolio generated 708 GWh during the year, supported by high availability across all 10 sites. The Ravensworth solar farm reached full output in November and now supplies enough electricity for around 90,000 homes. The refurbishment of the Harrowgate pumped-storage station was completed 9 days ahead of schedule and within budget. Capacity market agreements now cover the majority of our flexible capacity for the next four delivery years. A new control room in Newcastle now coordinates dispatch across our wind, solar and storage assets from a single platform.

We planted 47,000 trees across 8 sites and committed to a measurable net gain in biodiversity on new projects. Scope 3 emissions are the largest part of our footprint, so we are working with major suppliers on lower-carbon steel and cable. Our transition plan identifies the investments, partnerships and policy changes needed to reach net zero by 2045.

Digital twins of 190 substations are now used to plan outages and test upgrade options before work starts. Machine-learning models help prioritise inspections, reducing the number of unnecessary site visits. A partnership with a university research centre is helping us to forecast local demand at street level. Open data portals now publish half-hourly network capacity maps for developers and local authorities.

Maintenance outages were concentrated in the summer months to protect availability during the winter peak. Biodiversity surveys at each generation site informed the design of habitat management plans that will run for the life of the asset. We commissioned two further battery storage sites, adding 335 MW of fast-response capacity to the system.

Heat from our largest substations now supplies a district heating scheme in Gateshead. Physical climate risk assessments were completed for 316 critical assets, with adaptation plans prioritised by consequence. Sulphur hexafluoride leakage fell by 17% following the replacement of the oldest switchgear. Our science-based targets were validated during the year and cover emissions from our operations and our supply chain.

Our innovation fund backed 4 pilots, including a trial of dynamic network pricing with 462 participating households. We trialled hydrogen-ready switchgear at one site, which could simplify future conversions. Open data portals now publish half-hourly network capacity maps for developers and local authorities.

Availability of our gas-fired peaking plant was 76% during periods of system stress, which is above the contracted level. We completed the planned inspection of all 15 hydro turbines and replaced the runners on two units. Offshore wind output was affected by an unusually calm autumn, partly offset by strong spring and winter wind speeds. Load factors on our onshore wind fleet were broadly in line with the long-term average for the year. The refurbishment of the Harrowgate pumped-storage station was completed 34 days ahead of schedule and within budget.

Around 75% of our vehicle fleet is now electric, and we expect to complete the transition by 2030. Climate-related financial disclosures are set out in line with the recommendations of the Task Force and form part of this report. Internal carbon pricing is applied to every investment case above £18 million. Sulphur hexafluoride leakage fell by 5% following the replacement of the oldest switchgear.

Our innovation fund backed 7 pilots, including a trial of dynamic network pricing with 910 participating households. A partnership with a university research centre is helping us to forecast local demand at street level. A partnership with a university research centre is helping us to forecast local demand at street level. A partnership with a university research centre is helping us to forecast local demand at street level.

Load factors on our onshore wind fleet were broadly in line with the long-term average for the year. Maintenance outages were concentrated in the summer months to protect availability during the winter peak. A new control room in Newcastle now coordinates dispatch across our wind, solar and storage assets from a single platform. Our wind and solar portfolio generated 449 GWh during the year, supported by high availability across all 19 sites. Load factors on our onshore wind fleet were broadly in line with the long-term average for the year.

Scope 3 emissions are the largest part of our footprint, so we are working with major suppliers on lower-carbon steel and cable. Our science-based targets were validated during the year and cover emissions from our operations and our supply chain. We planted 26,000 trees across 10 sites and committed to a measurable net gain in biodiversity on new projects. Physical climate risk assessments were completed for 901 critical assets, with adaptation plans prioritised by consequence. Scope 3 emissions are the largest part of our footprint, so we are working with major suppliers on lower-carbon steel and cable.

OUR BUSINESS MODEL

Networks

Real-time data from smart meters helped our control room to restore supplies to many customers more quickly after faults. We replaced 918 kilometres of ageing underground cable and upgraded 16 primary substations during the year. Flood defences at 14 substations were raised during the year in line with our adaptation plan. Storm Ailsa was the most severe event of the year; 78,000 customers were reconnected within the first 26 hours. Network losses were broadly flat, and we continued to replace the least efficient transformers first.

Our innovation fund backed 12 pilots, including a trial of dynamic network pricing with 735 participating households. Open data portals now publish half-hourly network capacity maps for developers and local authorities. Machine-learning models help prioritise inspections, reducing the number of unnecessary site visits. A partnership with a university research centre is helping us to forecast local demand at street level.

Modern slavery risk assessments were updated and 6 high-risk suppliers received on-site audits. Our supplier code of conduct was refreshed to include requirements on carbon reporting and responsible sourcing. Lead times for large transformers remain long, so we placed framework orders early to protect our delivery plan. Prompt payment performance remained strong – 90% of undisputed invoices were paid within 30 days.

Vegetation management moved to a risk-based cycle, concentrating resources on circuits with the highest fault history. Overhead line inspections now use drones and thermal imaging, which has reduced the need for crews to work at height. Smart-grid sensors now monitor 355 distribution transformers, allowing faults to be located remotely. Our connections team processed 311 applications for heat pumps and electric vehicle chargers each month on average. A new framework contract with our alliance partners should shorten the time taken to energise major connections.

Digital twins of 170 substations are now used to plan outages and test upgrade options before work starts. We trialled hydrogen-ready switchgear at one site, which could simplify future conversions. We trialled hydrogen-ready switchgear at one site, which could simplify future conversions. We trialled hydrogen-ready switchgear at one site, which could simplify future conversions.

We spent £622 million with local suppliers, and 74% of our spend is with small and medium-sized businesses. We held supplier days in Newcastle and Manchester to explain our pipeline of work over the next five years. Dual sourcing has been introduced for the most critical categories of switchgear and protection equipment. Supply chain due diligence covers every supplier with annual spend above £89,000, including labour standards checks. Supply chain due diligence covers every supplier with annual spend above £81,000, including labour standards checks.

Average power cut duration fell to 11 minutes per customer, our best result since reporting began. We reinforced the transmission corridor between the Tyne valley and the Humber to release capacity for new wind generation. A new framework contract with our alliance partners should shorten the time taken to energise major connections. We reinforced the transmission corridor between the Tyne valley and the Humber to release capacity for new wind generation. Storm Ailsa was the most severe event of the year; 15,000 customers were reconnected within the first 39 hours.

Machine-learning models help prioritise inspections, reducing the number of unnecessary site visits. Our innovation fund backed 5 pilots, including a trial of dynamic network pricing with 497 participating households. Machine-learning models help prioritise inspections, reducing the number of unnecessary site visits. Machine-learning models help prioritise inspections, reducing the number of unnecessary site visits.

Modern slavery risk assessments were updated and 17 high-risk suppliers received on-site audits. Lead times for large transformers remain long, so we placed framework orders early to protect our delivery plan. We held supplier days in Newcastle and Manchester to explain our pipeline of work over the next five years. We spent £878 million with local suppliers, and 70% of our spend is with small and medium-sized businesses. Modern slavery risk assessments were updated and 11 high-risk suppliers received on-site audits.

We trialled hydrogen-ready switchgear at one site, which could simplify future conversions.

Our connections team processed 682 applications for heat pumps and electric vehicle chargers each month on average.

Average power cut duration fell to 32 minutes per customer, our best result since reporting began.

OUR BUSINESS MODEL

Customers and services

We partnered with 15 charities to extend support for customers in vulnerable circumstances. Proactive text messages about planned work reduced calls to our contact centres on the day of an outage. We launched a new app that lets customers report and track faults, and 86% of reports now arrive digitally. Translation and accessibility services were extended, and information is now available in 11 languages.

Our regulatory reporting was externally assured, and no material issues were identified. The Government's clean power plan increases the importance of timely network investment, and we are working with the system operator on a joint approach. We support the regulator's proposals to strengthen the licence conditions on governance and financial resilience.

The Priority Services Register now supports 36,000 customers who benefit from additional help during an outage. Our community energy programme helped 796 households to reduce bills through insulation and efficiency advice. Complaints fell by 19% compared with last year, driven by faster responses to connection enquiries.

Reforms to the planning system should shorten consenting times for new overhead lines and substations. Price control reopeners allow us to adjust funding for projects whose scope or cost is uncertain at the start of the period. We engaged constructively with the regulator on the next price control, submitting our business plan on time.

Customers can now book connection appointments online, and the median wait for a quotation fell by 40 days. Winter outreach visits reached 74,000 households, with advice on keeping warm and what to do in a power cut. Satisfaction among business customers improved, supported by named account managers for our largest connections. Our independent customer panel met four times and reviewed our performance on both service and bills. Our contact centres answered 50,000 calls, and 68% of customers told us their issue was resolved at first contact.

Changes to connection rules will help to release capacity for new demand more quickly and fairly. We responded to 19 consultations during the year, including proposals on network charging and market reform. The regulator's annual review confirmed that we met or exceeded 9 of our 90 output commitments.

Complaints fell by 11% compared with last year, driven by faster responses to connection enquiries. Customers can now book connection appointments online, and the median wait for a quotation fell by 14 days. Complaints fell by 8% compared with last year, driven by faster responses to connection enquiries. Proactive text messages about planned work reduced calls to our contact centres on the day of an outage. Proactive text messages about planned work reduced calls to our contact centres on the day of an outage.

Incentive mechanisms for customer service and reliability continue to reward performance above the regulatory baseline. The Government's clean power plan increases the importance of timely network investment, and we are working with the system operator on a joint approach. Our regulatory reporting was externally assured, and no material issues were identified. We engaged constructively with the regulator on the next price control, submitting our business plan on time. The regulator's annual review confirmed that we met or exceeded 16 of our 160 output commitments.

Satisfaction among business customers improved, supported by named account managers for our largest connections. Winter outreach visits reached 71,000 households, with advice on keeping warm and what to do in a power cut. We launched a new app that lets customers report and track faults, and 73% of reports now arrive digitally. Our independent customer panel met four times and reviewed our performance on both service and bills. Our contact centres answered 44,000 calls, and 64% of customers told us their issue was resolved at first contact.

The Government's clean power plan increases the importance of timely network investment, and we are working with the system operator on a joint approach. We engaged constructively with the regulator on the next price control, submitting our business plan on time. Incentive mechanisms for customer service and reliability continue to reward performance above the regulatory baseline. We support the regulator's proposals to strengthen the licence conditions on governance and financial resilience. Price control reopeners allow us to adjust funding for projects whose scope or cost is uncertain at the start of the period.

Our regulatory reporting was externally assured, and no material issues were identified.

Key performance indicators

Safety. Our lost-time injury frequency rate improved to 0.12 per 100,000 hours worked, from 0.17 last year. There were no fatalities among employees or contractors.

Key performance indicators

Indicator	2025/26	2024/25
Lost-time injury frequency rate	0.12	0.17
Average power cut duration (minutes)	38	44
Customer satisfaction score (out of 10)	8.7	8.5
Colleague engagement (%)	81	79
Scope 1 and 2 emissions (ktCO ₂ e)	1,184	1,267

A new standard for working at height was rolled out to all field teams following a review of near-miss reports. Public safety campaigns near substations and overhead lines reached more than 420,000 people through schools and social media. Safety remains our first priority – every meeting of the Board and each of its committees begins with a safety item.

The Priority Services Register now supports 42,000 customers who benefit from additional help during an outage. We launched a new app that lets customers report and track faults, and 70% of reports now arrive digitally. Our contact centres answered 76,000 calls, and 82% of customers told us their issue was resolved at first contact. Our community energy programme helped 872 households to reduce bills through insulation and efficiency advice.

Physical climate risk assessments were completed for 749 critical assets, with adaptation plans prioritised by consequence. Our science-based targets were validated during the year and cover emissions from our operations and our supply chain. Around 77% of our vehicle fleet is now electric, and we expect to complete the transition by 2030. Internal carbon pricing is applied to every investment case above £17 million. Our transition plan identifies the investments, partnerships and policy changes needed to reach net zero by 2045.

We continued to pay the real Living Wage to every employee and to the contractors we engage directly. Succession planning covers every executive role and the critical engineering positions beneath them. Our colleague networks for ethnicity, disability, LGBT+ and carers each have an executive sponsor. Colleagues completed an average of 25 hours of training during the year, with a focus on digital and engineering skills. We welcomed 902 new apprentices and graduates, and 76% of our workforce now has a development plan agreed with their manager.

Mental health first-aiders are now available at every major depot and office. Contractor safety forums were held in each region, bringing together 284 supervisors to share lessons from near misses. Critical-risk verifications were completed on 290 jobs during the year to confirm that controls work in practice. Every serious incident is reviewed by a director, and the lessons are shared across the Group within 16 days.

Proactive text messages about planned work reduced calls to our contact centres on the day of an outage. Winter outreach visits reached 74,000 households, with advice on keeping warm and what to do in a power cut. Customers can now book connection appointments online, and the median wait for a quotation fell by 16 days.

Climate-related financial disclosures are set out in line with the recommendations of the Task Force and form part of this report. Heat from our largest substations now supplies a district heating scheme in Gateshead. We planted 89,000 trees across 3 sites and committed to a measurable net gain in biodiversity on new projects.

Wellbeing support includes confidential counselling, financial education and a menopause support network. A new returners programme attracted 12 experienced engineers back into the industry. Flexible working is available from day one, and 94% of office-based colleagues use some form of hybrid pattern. Our gender pay gap narrowed again, and women now hold 150% of senior leadership roles. Engagement among colleagues remained high, with a survey response rate of 68% across every business unit.

We introduced wearable proximity sensors for crews working near live equipment, now used on 17 sites. We introduced wearable proximity sensors for crews working near live equipment, now used on 3 sites. A new standard for working at height was rolled out to all field teams following a review of near-miss reports. Mental health first-aiders are now available at every major depot and office.

Our independent customer panel met four times and reviewed our performance on both service and bills. Complaints fell by 4% compared with last year, driven by faster responses to connection enquiries. We partnered with 14 charities to extend support for customers in vulnerable circumstances. Translation and accessibility services were extended, and information is now available in 12 languages.

Scope 3 emissions are the largest part of our footprint, so we are working with major suppliers on lower-carbon steel and cable. Sulphur hexafluoride leakage fell by 14% following the replacement of the oldest switchgear. We planted 38,000 trees across 17 sites and committed to a measurable net gain in biodiversity on new projects. Sulphur hexafluoride leakage fell by 11% following the replacement of the oldest switchgear. Our transition plan identifies the investments, partnerships and policy changes needed to reach net zero by 2045.

Voluntary turnover was lower than the sector average, helped by clearer career paths for field engineers. We opened a second training academy in Leeds, which will train around 694 technicians a year. Flexible working is available from day one, and 61% of office-based colleagues use some form of hybrid pattern. We opened a second training academy in Leeds, which will train around 537 technicians a year. Succession planning covers every executive role and the critical engineering positions beneath them.

Public safety campaigns near substations and overhead lines reached more than 850,000 people through schools and social media. Every serious incident is reviewed by a director, and the lessons are shared across the Group within 25 days. Mental health first-aiders are now available at every major depot and office. Contractor safety forums were held in each region, bringing together 794 supervisors to share lessons from near misses.

Satisfaction among business customers improved, supported by named account managers for our largest connections. Satisfaction among business customers improved, supported by named account managers for our largest connections. Proactive text messages about planned work reduced calls to our contact centres on the day of an outage.

Around 78% of our vehicle fleet is now electric, and we expect to complete the transition by 2030. Sulphur hexafluoride leakage fell by 9% following the replacement of the oldest switchgear. We planted 29,000 trees across 14 sites and committed to a measurable net gain in biodiversity on new projects. We planted 63,000 trees across 17 sites and committed to a measurable net gain in biodiversity on new projects.

Succession planning covers every executive role and the critical engineering positions beneath them. Voluntary turnover was lower than the sector average, helped by clearer career paths for field engineers. Flexible working is available from day one, and 68% of office-based colleagues use some form of hybrid pattern. Our colleague networks for ethnicity, disability, LGBT+ and carers each have an executive sponsor. A new returners programme attracted 4 experienced engineers back into the industry.

Public safety campaigns near substations and overhead lines reached more than 320,000 people through schools and social media. Every serious incident is reviewed by a director, and the lessons are shared across the Group within 33 days. A new standard for working at height was rolled out to all field teams following a review of near-miss reports. Contractor safety forums were held in each region, bringing together 611 supervisors to share lessons from near misses.

Translation and accessibility services were extended, and information is now available in 6 languages. Translation and accessibility services were extended, and information is now available in 10 languages. Our contact centres answered 14,000 calls, and 63% of customers told us their issue was resolved at first contact.

Sulphur hexafluoride leakage fell by 15% following the replacement of the oldest switchgear. We planted 86,000 trees across 4 sites and committed to a measurable net gain in biodiversity on new projects. We planted 44,000 trees across 18 sites and committed to a measurable net gain in biodiversity on new projects. Sulphur hexafluoride leakage fell by 11% following the replacement of the oldest switchgear. Heat from our largest substations now supplies a district heating scheme in Gateshead.

Flexible working is available from day one, and 76% of office-based colleagues use some form of hybrid pattern. Voluntary turnover was lower than the sector average, helped by clearer career paths for field engineers. Succession planning covers every executive role and the critical engineering positions beneath them. We opened a second training academy in Leeds, which will train around 161 technicians a year. Our colleague networks for ethnicity, disability, LGBT+ and carers each have an executive sponsor.

Safety remains our first priority – every meeting of the Board and each of its committees begins with a safety item. Public safety campaigns near substations and overhead lines reached more than 590,000 people through schools and social media. Safety remains our first priority – every meeting of the Board and each of its committees begins with a safety item. Public safety campaigns near substations and overhead lines reached more than 690,000 people through schools and social media.

Climate-related financial disclosures are set out in line with the recommendations of the Task Force and form part of this report.

A new standard for working at height was rolled out to all field teams following a review of near-miss reports.

Financial review

Financial review. Group revenue increased by 7.4% to £14,812 million (2024/25: £13,791 million), reflecting higher regulated allowances and strong demand for new connections.

The effective tax rate for the year was 20.0%, compared with 20.0% in the prior year.

The table below summarises the Group's results on both a statutory and an underlying basis. Underlying results exclude exceptional items, which are described in note 3 on page 45.

£m	2025/26	2024/25	Change
Revenue	14,812	13,791	7.4%
Underlying operating profit	3,127	2,864	9.2%
Exceptional items	(295)	(212)	n/m
Operating profit	2,832	2,652	6.8%
Net finance costs	(1,042)	(998)	(4.4%)
Profit before tax	1,790	1,654	8.2%

The Government's clean power plan increases the importance of timely network investment, and we are working with the system operator on a joint approach. Reforms to the planning system should shorten consenting times for new overhead lines and substations. Changes to connection rules will help to release capacity for new demand more quickly and fairly. We support the regulator's proposals to strengthen the licence conditions on governance and financial resilience. We engaged constructively with the regulator on the next price control, submitting our business plan on time.

Investment decisions are tested against a simple question: does this make the system safer, cleaner or more affordable for the people we serve? We have continued to simplify how we work, moving routine planning decisions closer to the regional teams that know their networks best. We reviewed our portfolio during the year and concluded that our current mix of networks, flexible generation and customer services remains right.

We spent £940 million with local suppliers, and 62% of our spend is with small and medium-sized businesses. Modern slavery risk assessments were updated and 7 high-risk suppliers received on-site audits. Supply chain due diligence covers every supplier with annual spend above £40,000, including labour standards checks. We held supplier days in Newcastle and Manchester to explain our pipeline of work over the next five years. Our supplier code of conduct was refreshed to include requirements on carbon reporting and responsible sourcing.

The regulator's annual review confirmed that we met or exceeded 9 of our 90 output commitments. Price control reopeners allow us to adjust funding for projects whose scope or cost is uncertain at the start of the period. Our regulatory reporting was externally assured, and no material issues were identified. Incentive mechanisms for customer service and reliability continue to reward performance above the regulatory baseline. We responded to 3 consultations during the year, including proposals on network charging and market reform.

We published our updated "Clean Network 2030" roadmap, which sets out the milestones we will report against each year. We measure progress against a balanced scorecard covering safety, reliability, customer service, financial discipline and carbon. Our operating model separates long-term asset planning from day-to-day delivery, so that each team has clear accountability. Management reviews the strategy with the Board twice a year and tests it against alternative views of the future energy system. During the year we refreshed our long-term plan with the Board, stress-testing it against slower demand growth and faster electrification.

Prompt payment performance remained strong – 78% of undisputed invoices were paid within 30 days. Lead times for large transformers remain long, so we placed framework orders early to protect our delivery plan. Dual sourcing has been introduced for the most critical categories of switchgear and protection equipment. Our supplier code of conduct was refreshed to include requirements on carbon reporting and responsible sourcing.

Incentive mechanisms for customer service and reliability continue to reward performance above the regulatory baseline. Reforms to the planning system should shorten consenting times for new overhead lines and substations. We engaged constructively with the regulator on the next price control, submitting our business plan on time.

Partnerships with local authorities and community groups helped us to shape connection plans for 14 new housing developments. Our strategy rests on three priorities: a reliable network, a cleaner generation mix and fair outcomes for customers. Delivery of the plan depends on skilled people, so we continued to invest in training centres in the North East, Yorkshire and the Midlands. Local energy plans developed with 9 councils now guide where we reinforce the network first.

Our supplier code of conduct was refreshed to include requirements on carbon reporting and responsible sourcing. Supply chain due diligence covers every supplier with annual spend above £73,000, including labour standards checks. Lead times for large transformers remain long, so we placed framework orders early to protect our delivery plan. Modern slavery risk assessments were updated and 18 high-risk suppliers received on-site audits.

We responded to 11 consultations during the year, including proposals on network charging and market reform. Price control reopeners allow us to adjust funding for projects whose scope or cost is uncertain at the start of the period. Changes to connection rules will help to release capacity for new demand more quickly and fairly. We engaged constructively with the regulator on the next price control, submitting our business plan on time. Changes to connection rules will help to release capacity for new demand more quickly and fairly.

We have continued to simplify how we work, moving routine planning decisions closer to the regional teams that know their networks best. We reviewed our portfolio during the year and concluded that our current mix of networks, flexible generation and customer services remains right. We published our updated “Clean Network 2030” roadmap, which sets out the milestones we will report against each year.

Lead times for large transformers remain long, so we placed framework orders early to protect our delivery plan. Dual sourcing has been introduced for the most critical categories of switchgear and protection equipment. We held supplier days in Newcastle and Manchester to explain our pipeline of work over the next five years. Modern slavery risk assessments were updated and 13 high-risk suppliers received on-site audits.

The Government’s clean power plan increases the importance of timely network investment, and we are working with the system operator on a joint approach. The Government’s clean power plan increases the importance of timely network investment, and we are working with the system operator on a joint approach. Changes to connection rules will help to release capacity for new demand more quickly and fairly. Our regulatory reporting was externally assured, and no material issues were identified. We support the regulator’s proposals to strengthen the licence conditions on governance and financial resilience.

During the year we refreshed our long-term plan with the Board, stress-testing it against slower demand growth and faster electrification. We have continued to simplify how we work, moving routine planning decisions closer to the regional teams that know their networks best. Our strategy rests on three priorities: a reliable network, a cleaner generation mix and fair outcomes for customers.

Our supplier code of conduct was refreshed to include requirements on carbon reporting and responsible sourcing. Dual sourcing has been introduced for the most critical categories of switchgear and protection equipment. We held supplier days in Newcastle and Manchester to explain our pipeline of work over the next five years. Supply chain due diligence covers every supplier with annual spend above £59,000, including labour standards checks.

Price control reopeners allow us to adjust funding for projects whose scope or cost is uncertain at the start of the period. The regulator’s annual review confirmed that we met or exceeded 3 of our 30 output commitments. Reforms to the planning system should shorten consenting times for new overhead lines and substations. We engaged constructively with the regulator on the next price control, submitting our business plan on time. The regulator’s annual review confirmed that we met or exceeded 8 of our 80 output commitments.

Our operating model separates long-term asset planning from day-to-day delivery, so that each team has clear accountability. Management reviews the strategy with the Board twice a year and tests it against alternative views of the future energy system. Our operating model separates long-term asset planning from day-to-day delivery, so that each team has clear accountability.

Prompt payment performance remained strong – 89% of undisputed invoices were paid within 30 days. We spent £331 million with local suppliers, and 88% of our spend is with small and medium-sized businesses. Lead times for large transformers remain long, so we placed framework orders early to protect our delivery plan. Dual sourcing has been introduced for the most critical categories of switchgear and protection equipment. We spent £833 million with local suppliers, and 69% of our spend is with small and medium-sized businesses.

FINANCIAL REVIEW

Summary cash flow statement

The Group generated strong cash flow during the year. The table summarises the main components; the full statement is on page 42.

£m	2025/26	2024/25
Cash generated from operations	6,991	6,534
Net interest paid	(1,142)	(1,068)
Tax paid	(426)	(397)
Net cash inflow from operating activities	5,423	5,069
Capital expenditure	(2,596)	(2,288)
Proceeds from disposals	1,263	412
Dividends paid	(1,534)	(1,471)
Net cash movement before financing	2,556	1,722

Operating cash flow covered capital expenditure and dividends in full. The increase in disposal proceeds reflects the sale of a minority stake in an offshore transmission asset.

Modern slavery risk assessments were updated and 7 high-risk suppliers received on-site audits. Prompt payment performance remained strong – 75% of undisputed invoices were paid within 30 days. Dual sourcing has been introduced for the most critical categories of switchgear and protection equipment. Our supplier code of conduct was refreshed to include requirements on carbon reporting and responsible sourcing. We spent £547 million with local suppliers, and 68% of our spend is with small and medium-sized businesses.

We support the regulator's proposals to strengthen the licence conditions on governance and financial resilience. Price control reopeners allow us to adjust funding for projects whose scope or cost is uncertain at the start of the period. Reforms to the planning system should shorten consenting times for new overhead lines and substations. The regulator's annual review confirmed that we met or exceeded 13 of our 130 output commitments. Incentive mechanisms for customer service and reliability continue to reward performance above the regulatory baseline.

Lead times for large transformers remain long, so we placed framework orders early to protect our delivery plan. Supply chain due diligence covers every supplier with annual spend above £17,000, including labour standards checks. We held supplier days in Newcastle and Manchester to explain our pipeline of work over the next five years.

We responded to 15 consultations during the year, including proposals on network charging and market reform. Changes to connection rules will help to release capacity for new demand more quickly and fairly. We engaged constructively with the regulator on the next price control, submitting our business plan on time. The Government's clean power plan increases the importance of timely network investment, and we are working with the system operator on a joint approach.

Prompt payment performance remained strong – 81% of undisputed invoices were paid within 30 days. Supply chain due diligence covers every supplier with annual spend above £92,000, including labour standards checks. Our supplier code of conduct was refreshed to include requirements on carbon reporting and responsible sourcing. We held supplier days in Newcastle and Manchester to explain our pipeline of work over the next five years. Supply chain due diligence covers every supplier with annual spend above £30,000, including labour standards checks.

Our regulatory reporting was externally assured, and no material issues were identified. Reforms to the planning system should shorten consenting times for new overhead lines and substations. We engaged constructively with the regulator on the next price control, submitting our business plan on time. The regulator's annual review confirmed that we met or exceeded 6 of our 60 output commitments.

We held supplier days in Newcastle and Manchester to explain our pipeline of work over the next five years. Dual sourcing has been introduced for the most critical categories of switchgear and protection equipment. Supply chain due diligence covers every supplier with annual spend above £43,000, including labour standards checks.

Dual sourcing has been introduced for the most critical categories of switchgear and protection equipment.

Prompt payment performance remained strong – 85% of undisputed invoices were paid within 30 days.

FINANCIAL REVIEW

Net debt and funding

Net debt and funding. Net debt at 31 March 2026 was £21,466 million, a reduction of £1,252 million from £22,718 million a year earlier.

Details of our financial commitments and contingent liabilities are set out in note 29 on page 53.

The reduction reflects the net cash inflow of £2,556 million before financing, partly offset by £1,304 million of non-cash movements, mainly the indexation of inflation-linked debt.

We spent £245 million with local suppliers, and 76% of our spend is with small and medium-sized businesses. Lead times for large transformers remain long, so we placed framework orders early to protect our delivery plan. Dual sourcing has been introduced for the most critical categories of switchgear and protection equipment.

Scenario analysis considers severe but plausible events, including prolonged supply interruptions and market stress. Emerging risks are discussed quarterly by the Executive Committee and escalated to the Board where appropriate. Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls. The risk register is updated throughout the year, and heat maps are reviewed by the Audit Committee.

Reforms to the planning system should shorten consenting times for new overhead lines and substations. We support the regulator's proposals to strengthen the licence conditions on governance and financial resilience. Our regulatory reporting was externally assured, and no material issues were identified.

Modern slavery risk assessments were updated and 9 high-risk suppliers received on-site audits. Supply chain due diligence covers every supplier with annual spend above £32,000, including labour standards checks. Our supplier code of conduct was refreshed to include requirements on carbon reporting and responsible sourcing. Prompt payment performance remained strong – 64% of undisputed invoices were paid within 30 days. We held supplier days in Newcastle and Manchester to explain our pipeline of work over the next five years.

Each principal risk has an executive owner, a defined appetite and a set of controls that are tested independently. Internal audit completed 190 reviews during the year and tracked 695 actions to closure. Business continuity plans were tested through 3 exercises, including a simulated loss of a primary control room.

Incentive mechanisms for customer service and reliability continue to reward performance above the regulatory baseline. We responded to 8 consultations during the year, including proposals on network charging and market reform. The Government's clean power plan increases the importance of timely network investment, and we are working with the system operator on a joint approach. The regulator's annual review confirmed that we met or exceeded 16 of our 160 output commitments.

Our supplier code of conduct was refreshed to include requirements on carbon reporting and responsible sourcing. We spent £512 million with local suppliers, and 85% of our spend is with small and medium-sized businesses. We held supplier days in Newcastle and Manchester to explain our pipeline of work over the next five years.

Reverse stress tests identify the combination of events that would threaten the Group's liquidity or licence to operate. The risk register is updated throughout the year, and heat maps are reviewed by the Audit Committee. Internal audit completed 120 reviews during the year and tracked 219 actions to closure.

Changes to connection rules will help to release capacity for new demand more quickly and fairly. Price control reopeners allow us to adjust funding for projects whose scope or cost is uncertain at the start of the period. We engaged constructively with the regulator on the next price control, submitting our business plan on time. Incentive mechanisms for customer service and reliability continue to reward performance above the regulatory baseline. Our regulatory reporting was externally assured, and no material issues were identified.

Lead times for large transformers remain long, so we placed framework orders early to protect our delivery plan. Prompt payment performance remained strong – 90% of undisputed invoices were paid within 30 days. Prompt payment performance remained strong – 95% of undisputed invoices were paid within 30 days. We spent £220 million with local suppliers, and 77% of our spend is with small and medium-sized businesses.

Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls. Business continuity plans were tested through 13 exercises, including a simulated loss of a primary control room. Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls. Reverse stress tests identify the combination of events that would threaten the Group's liquidity or licence to operate.

We support the regulator's proposals to strengthen the licence conditions on governance and financial resilience. We support the regulator's proposals to strengthen the licence conditions on governance and financial resilience. Our regulatory reporting was externally assured, and no material issues were identified. Changes to connection rules will help to release capacity for new demand more quickly and fairly.

Prompt payment performance remained strong – 67% of undisputed invoices were paid within 30 days. Modern slavery risk assessments were updated and 8 high-risk suppliers received on-site audits. We spent £166 million with local suppliers, and 81% of our spend is with small and medium-sized businesses.

Reverse stress tests identify the combination of events that would threaten the Group's liquidity or licence to operate. Scenario analysis considers severe but plausible events, including prolonged supply interruptions and market stress. Internal audit completed 160 reviews during the year and tracked 744 actions to closure. Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls. Emerging risks are discussed quarterly by the Executive Committee and escalated to the Board where appropriate.

Reforms to the planning system should shorten consenting times for new overhead lines and substations. Reforms to the planning system should shorten consenting times for new overhead lines and substations. We responded to 9 consultations during the year, including proposals on network charging and market reform.

Prompt payment performance remained strong – 84% of undisputed invoices were paid within 30 days. We spent £922 million with local suppliers, and 90% of our spend is with small and medium-sized businesses. Lead times for large transformers remain long, so we placed framework orders early to protect our delivery plan. Prompt payment performance remained strong – 75% of undisputed invoices were paid within 30 days. We held supplier days in Newcastle and Manchester to explain our pipeline of work over the next five years.

Emerging risks are discussed quarterly by the Executive Committee and escalated to the Board where appropriate. The risk register is updated throughout the year, and heat maps are reviewed by the Audit Committee. Scenario analysis considers severe but plausible events, including prolonged supply interruptions and market stress. The risk register is updated throughout the year, and heat maps are reviewed by the Audit Committee. Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls.

Our regulatory reporting was externally assured, and no material issues were identified. Reforms to the planning system should shorten consenting times for new overhead lines and substations. We support the regulator's proposals to strengthen the licence conditions on governance and financial resilience.

Our supplier code of conduct was refreshed to include requirements on carbon reporting and responsible sourcing. Lead times for large transformers remain long, so we placed framework orders early to protect our delivery plan. Dual sourcing has been introduced for the most critical categories of switchgear and protection equipment.

Each principal risk has an executive owner, a defined appetite and a set of controls that are tested independently. Business continuity plans were tested through 4 exercises, including a simulated loss of a primary control room. Reverse stress tests identify the combination of events that would threaten the Group's liquidity or licence to operate.

The regulator's annual review confirmed that we met or exceeded 3 of our 30 output commitments. We responded to 13 consultations during the year, including proposals on network charging and market reform. The regulator's annual review confirmed that we met or exceeded 5 of our 50 output commitments. Our regulatory reporting was externally assured, and no material issues were identified.

We spent £639 million with local suppliers, and 81% of our spend is with small and medium-sized businesses. Dual sourcing has been introduced for the most critical categories of switchgear and protection equipment. We held supplier days in Newcastle and Manchester to explain our pipeline of work over the next five years. We spent £632 million with local suppliers, and 78% of our spend is with small and medium-sized businesses. Dual sourcing has been introduced for the most critical categories of switchgear and protection equipment.

We support the regulator's proposals to strengthen the licence conditions on governance and financial resilience.

FINANCIAL REVIEW

Dividend and capital allocation

Dividend. The Board recommends a final dividend of 24.62 pence per share, which together with the interim dividend of 11.53 pence makes a total dividend for the year of 36.15 pence per share.

The total dividend is 8.0% higher than last year's 33.48 pence. Subject to approval at the Annual General Meeting, the final dividend will be paid on 28 August 2026 to shareholders on the register on 31 July 2026.

The Company has an active programme to help shareholders to avoid investment scams. The Company's ordinary shares are admitted to the premium listing segment of the London Stock Exchange. Shareholders can receive communications electronically and manage their holdings online through the registrar's portal. Shareholders who prefer paper communications can opt in by contacting the registrar. We held meetings with investors during the year, covering strategy, regulation, sustainability and governance.

Delivery of the plan depends on skilled people, so we continued to invest in training centres in the North East, Yorkshire and the Midlands. Our operating model separates long-term asset planning from day-to-day delivery, so that each team has clear accountability. Investment decisions are tested against a simple question: does this make the system safer, cleaner or more affordable for the people we serve? We have continued to simplify how we work, moving routine planning decisions closer to the regional teams that know their networks best.

Unclaimed dividends can be reclaimed from the registrar at any time, and a reunification service is available for lost holdings. Shareholders can receive communications electronically and manage their holdings online through the registrar's portal. Shareholders who prefer paper communications can opt in by contacting the registrar.

Management reviews the strategy with the Board twice a year and tests it against alternative views of the future energy system. We measure progress against a balanced scorecard covering safety, reliability, customer service, financial discipline and carbon. We published our updated "Clean Network 2030" roadmap, which sets out the milestones we will report against each year. We reviewed our portfolio during the year and concluded that our current mix of networks, flexible generation and customer services remains right.

Shareholders who prefer paper communications can opt in by contacting the registrar. Shareholders who prefer paper communications can opt in by contacting the registrar. We held meetings with investors during the year, covering strategy, regulation, sustainability and governance. Shareholders who prefer paper communications can opt in by contacting the registrar. We held meetings with investors during the year, covering strategy, regulation, sustainability and governance.

Partnerships with local authorities and community groups helped us to shape connection plans for 3 new housing developments. Our strategy rests on three priorities: a reliable network, a cleaner generation mix and fair outcomes for customers. Local energy plans developed with 3 councils now guide where we reinforce the network first. During the year we refreshed our long-term plan with the Board, stress-testing it against slower demand growth and faster electrification.

The Company's ordinary shares are admitted to the premium listing segment of the London Stock Exchange. The Company has an active programme to help shareholders to avoid investment scams. We held meetings with investors during the year, covering strategy, regulation, sustainability and governance.

Our strategy rests on three priorities: a reliable network, a cleaner generation mix and fair outcomes for customers. Management reviews the strategy with the Board twice a year and tests it against alternative views of the future energy system. Management reviews the strategy with the Board twice a year and tests it against alternative views of the future energy system.

Shareholders who prefer paper communications can opt in by contacting the registrar. Unclaimed dividends can be reclaimed from the registrar at any time, and a reunification service is available for lost holdings. Shareholders who prefer paper communications can opt in by contacting the registrar. We held meetings with investors during the year, covering strategy, regulation, sustainability and governance. The Company has an active programme to help shareholders to avoid investment scams.

We held meetings with investors during the year, covering strategy, regulation, sustainability and governance.

Shareholders who prefer paper communications can opt in by contacting the registrar.

Principal risks and uncertainties

The Board is responsible for determining the nature and extent of the principal risks the Group is willing to take.

Reverse stress tests identify the combination of events that would threaten the Group's liquidity or licence to operate. The risk register is updated throughout the year, and heat maps are reviewed by the Audit Committee. Business continuity plans were tested through 18 exercises, including a simulated loss of a primary control room. Scenario analysis considers severe but plausible events, including prolonged supply interruptions and market stress.

The Board visited the Tyneside control centre and two major substation projects to see operations and meet colleagues. Committee terms of reference were refreshed and are available on the Company's website. The Board met 4 times during the year; attendance by directors averaged 80%.

Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls. Each principal risk has an executive owner, a defined appetite and a set of controls that are tested independently. Internal audit completed 90 reviews during the year and tracked 523 actions to closure. Emerging risks are discussed quarterly by the Executive Committee and escalated to the Board where appropriate. Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls.

Workforce engagement is led by a designated non-executive director, who met employee representatives on 3 occasions. The Board reviewed the Group's purpose, values and culture, drawing on survey results, whistleblowing reports and site visits. An externally facilitated Board evaluation concluded that the Board and its committees continue to operate effectively.

Emerging risks are discussed quarterly by the Executive Committee and escalated to the Board where appropriate. The risk register is updated throughout the year, and heat maps are reviewed by the Audit Committee. Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls. Business continuity plans were tested through 5 exercises, including a simulated loss of a primary control room.

The Board approved a refreshed delegation of authority to support faster, better-informed decisions.

Directors received regular briefings on regulation, cyber security, climate and market developments. Conflicts of interest are declared at the start of each meeting and recorded in the minutes. The Nomination Committee reviewed succession plans for the Board and for the senior leadership team.

Scenario analysis considers severe but plausible events, including prolonged supply interruptions and market stress. The risk register is updated throughout the year, and heat maps are reviewed by the Audit Committee. Internal audit completed 120 reviews during the year and tracked 156 actions to closure. Each principal risk has an executive owner, a defined appetite and a set of controls that are tested independently.

We comply with the UK Corporate Governance Code, and any areas of departure are explained in this report. The Board reviewed the Group's purpose, values and culture, drawing on survey results, whistleblowing reports and site visits. The Board reviewed the Group's purpose, values and culture, drawing on survey results, whistleblowing reports and site visits. We comply with the UK Corporate Governance Code, and any areas of departure are explained in this report.

Each principal risk has an executive owner, a defined appetite and a set of controls that are tested independently. Each principal risk has an executive owner, a defined appetite and a set of controls that are tested independently. Emerging risks are discussed quarterly by the Executive Committee and escalated to the Board where appropriate. Scenario analysis considers severe but plausible events, including prolonged supply interruptions and market stress.

Workforce engagement is led by a designated non-executive director, who met employee representatives on 11 occasions. The Board approved a refreshed delegation of authority to support faster, better-informed decisions. The Board visited the Tyneside control centre and two major substation projects to see operations and meet colleagues. The Board reviewed the Group's purpose, values and culture, drawing on survey results, whistleblowing reports and site visits. Workforce engagement is led by a designated non-executive director, who met employee representatives on 14 occasions.

The Board approved a refreshed delegation of authority to support faster, better-informed decisions.

PRINCIPAL RISKS AND UNCERTAINTIES

Principal risks

Cyber security. The risk of a significant cyber attack on our operational technology was assessed as having increased during the year.

Principal risk	Change	Rating	Key mitigations
Network resilience and extreme weather	Stable	High	Targeted reinforcement, storm response plans and mutual aid agreements with neighbouring operators.
Cyber security of operational technology	Increased	High	Segmented control networks, continuous monitoring and annual red-team exercises.
Regulatory and political change	Stable	Medium	Early engagement on price control design and scenario planning.
Supply chain and delivery	Decreased	Medium	Framework agreements, dual sourcing and early ordering of long-lead equipment.
Safety and wellbeing	Stable	Medium	Critical-risk standards, contractor assurance and mental health support.
Climate change and transition	Stable	Medium	Adaptation plans, science-based targets and flexible capacity.
People and skills	Increased	Medium	Apprenticeships, retention incentives and returner programmes.

Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls. Emerging risks are discussed quarterly by the Executive Committee and escalated to the Board where appropriate. Each principal risk has an executive owner, a defined appetite and a set of controls that are tested independently. The risk register is updated throughout the year, and heat maps are reviewed by the Audit Committee. Business continuity plans were tested through 7 exercises, including a simulated loss of a primary control room.

We support the regulator's proposals to strengthen the licence conditions on governance and financial resilience. Incentive mechanisms for customer service and reliability continue to reward performance above the regulatory baseline. Changes to connection rules will help to release capacity for new demand more quickly and fairly.

Lead times for large transformers remain long, so we placed framework orders early to protect our delivery plan. Modern slavery risk assessments were updated and 11 high-risk suppliers received on-site audits. Prompt payment performance remained strong – 69% of undisputed invoices were paid within 30 days.

Heat from our largest substations now supplies a district heating scheme in Gateshead. Around 75% of our vehicle fleet is now electric, and we expect to complete the transition by 2030. We planted 50,000 trees across 3 sites and committed to a measurable net gain in biodiversity on new projects.

Scenario analysis considers severe but plausible events, including prolonged supply interruptions and market stress. Reverse stress tests identify the combination of events that would threaten the Group's liquidity or licence to operate. Internal audit completed 60 reviews during the year and tracked 574 actions to closure. The risk register is updated throughout the year, and heat maps are reviewed by the Audit Committee. Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls.

Our regulatory reporting was externally assured, and no material issues were identified. We responded to 15 consultations during the year, including proposals on network charging and market reform. We engaged constructively with the regulator on the next price control, submitting our business plan on time. Reforms to the planning system should shorten consenting times for new overhead lines and substations.

We spent £271 million with local suppliers, and 73% of our spend is with small and medium-sized businesses. Our supplier code of conduct was refreshed to include requirements on carbon reporting and responsible sourcing. Dual sourcing has been introduced for the most critical categories of switchgear and protection equipment. Supply chain due diligence covers every supplier with annual spend above £79,000, including labour standards checks.

Physical climate risk assessments were completed for 556 critical assets, with adaptation plans prioritised by consequence. Our science-based targets were validated during the year and cover emissions from our operations and our supply chain. Sulphur hexafluoride leakage fell by 5% following the replacement of the oldest switchgear. Our transition plan identifies the investments, partnerships and policy changes needed to reach net zero by 2045. Internal carbon pricing is applied to every investment case above £4 million.

Internal audit completed 90 reviews during the year and tracked 309 actions to closure. Internal audit completed 190 reviews during the year and tracked 806 actions to closure. Business continuity plans were tested through 5 exercises, including a simulated loss of a primary control room.

The regulator's annual review confirmed that we met or exceeded 16 of our 160 output commitments. Price control reopeners allow us to adjust funding for projects whose scope or cost is uncertain at the start of the period. The Government's clean power plan increases the importance of timely network investment, and we are working with the system operator on a joint approach. The regulator's annual review confirmed that we met or exceeded 13 of our 130 output commitments. Reforms to the planning system should shorten consenting times for new overhead lines and substations.

We held supplier days in Newcastle and Manchester to explain our pipeline of work over the next five years. Prompt payment performance remained strong – 78% of undisputed invoices were paid within 30 days. Supply chain due diligence covers every supplier with annual spend above £84,000, including labour standards checks.

Scope 3 emissions are the largest part of our footprint, so we are working with major suppliers on lower-carbon steel and cable. Climate-related financial disclosures are set out in line with the recommendations of the Task Force and form part of this report. Scope 3 emissions are the largest part of our footprint, so we are working with major suppliers on lower-carbon steel and cable.

Business continuity plans were tested through 4 exercises, including a simulated loss of a primary control room. Reverse stress tests identify the combination of events that would threaten the Group's liquidity or licence to operate. Scenario analysis considers severe but plausible events, including prolonged supply interruptions and market stress. Emerging risks are discussed quarterly by the Executive Committee and escalated to the Board where appropriate. Scenario analysis considers severe but plausible events, including prolonged supply interruptions and market stress.

We responded to 17 consultations during the year, including proposals on network charging and market reform. The regulator's annual review confirmed that we met or exceeded 19 of our 190 output commitments. We support the regulator's proposals to strengthen the licence conditions on governance and financial resilience. Incentive mechanisms for customer service and reliability continue to reward performance above the regulatory baseline. Changes to connection rules will help to release capacity for new demand more quickly and fairly.

Supply chain due diligence covers every supplier with annual spend above £40,000, including labour standards checks. Modern slavery risk assessments were updated and 11 high-risk suppliers received on-site audits. Prompt payment performance remained strong – 67% of undisputed invoices were paid within 30 days.

Scope 3 emissions are the largest part of our footprint, so we are working with major suppliers on lower-carbon steel and cable. Climate-related financial disclosures are set out in line with the recommendations of the Task Force and form part of this report. Our science-based targets were validated during the year and cover emissions from our operations and our supply chain. Our transition plan identifies the investments, partnerships and policy changes needed to reach net zero by 2045.

Scenario analysis considers severe but plausible events, including prolonged supply interruptions and market stress. Reverse stress tests identify the combination of events that would threaten the Group's liquidity or licence to operate. Internal audit completed 60 reviews during the year and tracked 786 actions to closure.

Price control reopeners allow us to adjust funding for projects whose scope or cost is uncertain at the start of the period. Incentive mechanisms for customer service and reliability continue to reward performance above the regulatory baseline. We engaged constructively with the regulator on the next price control, submitting our business plan on time.

Lead times for large transformers remain long, so we placed framework orders early to protect our delivery plan. Lead times for large transformers remain long, so we placed framework orders early to protect our delivery plan. Modern slavery risk assessments were updated and 17 high-risk suppliers received on-site audits.

Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls.

PRINCIPAL RISKS AND UNCERTAINTIES

Viability statement

Viability statement. The directors assessed the viability of the Group over a period of five years to 31 March 2031. This period aligns with our business plan and the regulatory price control cycle.

Scenario analysis considers severe but plausible events, including prolonged supply interruptions and market stress. Business continuity plans were tested through 10 exercises, including a simulated loss of a primary control room. Internal audit completed 190 reviews during the year and tracked 724 actions to closure. Emerging risks are discussed quarterly by the Executive Committee and escalated to the Board where appropriate.

Materiality was set with reference to a proportion of underlying profit, and misstatements above a lower threshold were reported to the Committee. The Committee met privately with the external auditor and the head of internal audit without management present. We communicated the scope and findings of the audit to the Audit Committee throughout the year. Management's assessment of the going concern assumption and the long-term viability statement was challenged by the Committee.

Each principal risk has an executive owner, a defined appetite and a set of controls that are tested independently. Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls. The risk register is updated throughout the year, and heat maps are reviewed by the Audit Committee.

Our audit of the carrying value of network assets focused on the capitalisation of labour and overhead costs. The Committee reviewed the significant accounting judgements and the clarity of the disclosures presented in this report. Our audit approach was tailored to the Group's regulated structure and to the areas of greatest estimation uncertainty. The Committee considered the independence and objectivity of the external auditor, including non-audit services. Management's assessment of the going concern assumption and the long-term viability statement was challenged by the Committee.

Reverse stress tests identify the combination of events that would threaten the Group's liquidity or licence to operate. Internal audit completed 150 reviews during the year and tracked 893 actions to closure. The risk register is updated throughout the year, and heat maps are reviewed by the Audit Committee. Emerging risks are discussed quarterly by the Executive Committee and escalated to the Board where appropriate. Internal audit completed 160 reviews during the year and tracked 191 actions to closure.

Management's assessment of the going concern assumption and the long-term viability statement was challenged by the Committee. The Committee considered the independence and objectivity of the external auditor, including non-audit services. Materiality was set with reference to a proportion of underlying profit, and misstatements above a lower threshold were reported to the Committee. The Committee reviewed the significant accounting judgements and the clarity of the disclosures presented in this report. Our audit of the carrying value of network assets focused on the capitalisation of labour and overhead costs.

Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls. Scenario analysis considers severe but plausible events, including prolonged supply interruptions and market stress. Reverse stress tests identify the combination of events that would threaten the Group's liquidity or licence to operate. Each principal risk has an executive owner, a defined appetite and a set of controls that are tested independently.

The Committee met privately with the external auditor and the head of internal audit without management present. Our audit of the carrying value of network assets focused on the capitalisation of labour and overhead costs. We communicated the scope and findings of the audit to the Audit Committee throughout the year. Our audit approach was tailored to the Group's regulated structure and to the areas of greatest estimation uncertainty.

The risk register is updated throughout the year, and heat maps are reviewed by the Audit Committee. Reverse stress tests identify the combination of events that would threaten the Group's liquidity or licence to operate. Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls.

Sustainability

We are committed to reducing our Scope 1 and 2 emissions by 62% by 2030 against a 2019/20 baseline, our “Clean Network 2030” commitment.

Sulphur hexafluoride leakage fell by 18% following the replacement of the oldest switchgear. Scope 3 emissions are the largest part of our footprint, so we are working with major suppliers on lower-carbon steel and cable. Around 94% of our vehicle fleet is now electric, and we expect to complete the transition by 2030.

Prompt payment performance remained strong – 75% of undisputed invoices were paid within 30 days. We spent £358 million with local suppliers, and 72% of our spend is with small and medium-sized businesses. Our supplier code of conduct was refreshed to include requirements on carbon reporting and responsible sourcing. Modern slavery risk assessments were updated and 6 high-risk suppliers received on-site audits.

We opened a second training academy in Leeds, which will train around 801 technicians a year. A new returners programme attracted 16 experienced engineers back into the industry. Engagement among colleagues remained high, with a survey response rate of 85% across every business unit. Voluntary turnover was lower than the sector average, helped by clearer career paths for field engineers. Our colleague networks for ethnicity, disability, LGBT+ and carers each have an executive sponsor.

Physical climate risk assessments were completed for 294 critical assets, with adaptation plans prioritised by consequence. Heat from our largest substations now supplies a district heating scheme in Gateshead. Our transition plan identifies the investments, partnerships and policy changes needed to reach net zero by 2045. Our science-based targets were validated during the year and cover emissions from our operations and our supply chain. We planted 79,000 trees across 7 sites and committed to a measurable net gain in biodiversity on new projects.

We held supplier days in Newcastle and Manchester to explain our pipeline of work over the next five years. Lead times for large transformers remain long, so we placed framework orders early to protect our delivery plan. Supply chain due diligence covers every supplier with annual spend above £16,000, including labour standards checks. Dual sourcing has been introduced for the most critical categories of switchgear and protection equipment.

Colleagues completed an average of 20 hours of training during the year, with a focus on digital and engineering skills. Flexible working is available from day one, and 64% of office-based colleagues use some form of hybrid pattern. Succession planning covers every executive role and the critical engineering positions beneath them. Wellbeing support includes confidential counselling, financial education and a menopause support network. We welcomed 873 new apprentices and graduates, and 86% of our workforce now has a development plan agreed with their manager.

Internal carbon pricing is applied to every investment case above £10 million. Climate-related financial disclosures are set out in line with the recommendations of the Task Force and form part of this report. Around 70% of our vehicle fleet is now electric, and we expect to complete the transition by 2030. Sulphur hexafluoride leakage fell by 6% following the replacement of the oldest switchgear. Around 64% of our vehicle fleet is now electric, and we expect to complete the transition by 2030.

Our supplier code of conduct was refreshed to include requirements on carbon reporting and responsible sourcing. We spent £693 million with local suppliers, and 90% of our spend is with small and medium-sized businesses. Prompt payment performance remained strong – 95% of undisputed invoices were paid within 30 days. Modern slavery risk assessments were updated and 10 high-risk suppliers received on-site audits. Modern slavery risk assessments were updated and 12 high-risk suppliers received on-site audits.

Our gender pay gap narrowed again, and women now hold 110% of senior leadership roles. We continued to pay the real Living Wage to every employee and to the contractors we engage directly. A new returners programme attracted 19 experienced engineers back into the industry.

Sulphur hexafluoride leakage fell by 12% following the replacement of the oldest switchgear. Our science-based targets were validated during the year and cover emissions from our operations and our supply chain. Our transition plan identifies the investments, partnerships and policy changes needed to reach net zero by 2045. Our transition plan identifies the investments, partnerships and policy changes needed to reach net zero by 2045.

We held supplier days in Newcastle and Manchester to explain our pipeline of work over the next five years. We held supplier days in Newcastle and Manchester to explain our pipeline of work over the next five years. Our supplier code of conduct was refreshed to include requirements on carbon reporting and responsible sourcing. Modern slavery risk assessments were updated and 13 high-risk suppliers received on-site audits. Modern slavery risk assessments were updated and 11 high-risk suppliers received on-site audits.

We continued to pay the real Living Wage to every employee and to the contractors we engage directly. We continued to pay the real Living Wage to every employee and to the contractors we engage directly. Wellbeing support includes confidential counselling, financial education and a menopause support network. Our gender pay gap narrowed again, and women now hold 50% of senior leadership roles. A new returners programme attracted 13 experienced engineers back into the industry.

Sulphur hexafluoride leakage fell by 12% following the replacement of the oldest switchgear. Internal carbon pricing is applied to every investment case above £10 million. Scope 3 emissions are the largest part of our footprint, so we are working with major suppliers on lower-carbon steel and cable. We planted 66,000 trees across 13 sites and committed to a measurable net gain in biodiversity on new projects.

We held supplier days in Newcastle and Manchester to explain our pipeline of work over the next five years. Dual sourcing has been introduced for the most critical categories of switchgear and protection equipment. Modern slavery risk assessments were updated and 18 high-risk suppliers received on-site audits.

Voluntary turnover was lower than the sector average, helped by clearer career paths for field engineers. We opened a second training academy in Leeds, which will train around 563 technicians a year. A new returners programme attracted 3 experienced engineers back into the industry. Succession planning covers every executive role and the critical engineering positions beneath them. Engagement among colleagues remained high, with a survey response rate of 80% across every business unit.

Our transition plan identifies the investments, partnerships and policy changes needed to reach net zero by 2045. Heat from our largest substations now supplies a district heating scheme in Gateshead. Sulphur hexafluoride leakage fell by 16% following the replacement of the oldest switchgear.

We spent £896 million with local suppliers, and 89% of our spend is with small and medium-sized businesses. Dual sourcing has been introduced for the most critical categories of switchgear and protection equipment. Lead times for large transformers remain long, so we placed framework orders early to protect our delivery plan. Lead times for large transformers remain long, so we placed framework orders early to protect our delivery plan. We held supplier days in Newcastle and Manchester to explain our pipeline of work over the next five years.

Succession planning covers every executive role and the critical engineering positions beneath them. We welcomed 779 new apprentices and graduates, and 72% of our workforce now has a development plan agreed with their manager. Wellbeing support includes confidential counselling, financial education and a menopause support network.

We planted 25,000 trees across 15 sites and committed to a measurable net gain in biodiversity on new projects. Internal carbon pricing is applied to every investment case above £7 million. We planted 38,000 trees across 15 sites and committed to a measurable net gain in biodiversity on new projects. Physical climate risk assessments were completed for 560 critical assets, with adaptation plans prioritised by consequence. Our transition plan identifies the investments, partnerships and policy changes needed to reach net zero by 2045.

Prompt payment performance remained strong – 61% of undisputed invoices were paid within 30 days. Supply chain due diligence covers every supplier with annual spend above £44,000, including labour standards checks. Dual sourcing has been introduced for the most critical categories of switchgear and protection equipment. We spent £604 million with local suppliers, and 62% of our spend is with small and medium-sized businesses.

Wellbeing support includes confidential counselling, financial education and a menopause support network. Engagement among colleagues remained high, with a survey response rate of 86% across every business unit. We opened a second training academy in Leeds, which will train around 444 technicians a year. Our gender pay gap narrowed again, and women now hold 180% of senior leadership roles. Succession planning covers every executive role and the critical engineering positions beneath them.

Climate-related financial disclosures are set out in line with the recommendations of the Task Force and form part of this report. We planted 75,000 trees across 6 sites and committed to a measurable net gain in biodiversity on new projects. Heat from our largest substations now supplies a district heating scheme in Gateshead.

Governance

How the Board and its committees oversee the business, and how we reward our leaders.

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Board of directors

Raj Patel, Chief Executive Officer, joined the Board in 2019 and was appointed Chief Executive in 2022.

Dame Helen Marsh, Chair, joined the Board in 2023. She was previously Deputy Chair of a FTSE 100 infrastructure group.

Karen Osei, Chief Financial Officer, joined the Board in 2021 and chairs the Group's disclosure committee.

Workforce engagement is led by a designated non-executive director, who met employee representatives on 17 occasions. The Board visited the Tyneside control centre and two major substation projects to see operations and meet colleagues. The Nomination Committee reviewed succession plans for the Board and for the senior leadership team. We comply with the UK Corporate Governance Code, and any areas of departure are explained in this report. Directors received regular briefings on regulation, cyber security, climate and market developments.

Voluntary turnover was lower than the sector average, helped by clearer career paths for field engineers. Wellbeing support includes confidential counselling, financial education and a menopause support network. Succession planning covers every executive role and the critical engineering positions beneath them. Engagement among colleagues remained high, with a survey response rate of 93% across every business unit. Colleagues completed an average of 3 hours of training during the year, with a focus on digital and engineering skills.

The Board met 18 times during the year; attendance by directors averaged 66%. An externally facilitated Board evaluation concluded that the Board and its committees continue to operate effectively. Committee terms of reference were refreshed and are available on the Company's website.

Our gender pay gap narrowed again, and women now hold 40% of senior leadership roles. We continued to pay the real Living Wage to every employee and to the contractors we engage directly. Flexible working is available from day one, and 86% of office-based colleagues use some form of hybrid pattern. Our colleague networks for ethnicity, disability, LGBT+ and carers each have an executive sponsor.

The Board approved a refreshed delegation of authority to support faster, better-informed decisions. Conflicts of interest are declared at the start of each meeting and recorded in the minutes. The Board reviewed the Group's purpose, values and culture, drawing on survey results, whistleblowing reports and site visits.

We opened a second training academy in Leeds, which will train around 590 technicians a year. A new returners programme attracted 16 experienced engineers back into the industry. We welcomed 680 new apprentices and graduates, and 81% of our workforce now has a development plan agreed with their manager. Our gender pay gap narrowed again, and women now hold 80% of senior leadership roles.

Workforce engagement is led by a designated non-executive director, who met employee representatives on 7 occasions. The Board met 19 times during the year; attendance by directors averaged 82%. Directors received regular briefings on regulation, cyber security, climate and market developments. Workforce engagement is led by a designated non-executive director, who met employee representatives on 10 occasions.

Engagement among colleagues remained high, with a survey response rate of 76% across every business unit. We continued to pay the real Living Wage to every employee and to the contractors we engage directly. Our colleague networks for ethnicity, disability, LGBT+ and carers each have an executive sponsor.

An externally facilitated Board evaluation concluded that the Board and its committees continue to operate effectively. Conflicts of interest are declared at the start of each meeting and recorded in the minutes. The Nomination Committee reviewed succession plans for the Board and for the senior leadership team.

Colleagues completed an average of 39 hours of training during the year, with a focus on digital and engineering skills. Flexible working is available from day one, and 85% of office-based colleagues use some form of hybrid pattern. Our gender pay gap narrowed again, and women now hold 40% of senior leadership roles. Engagement among colleagues remained high, with a survey response rate of 82% across every business unit. A new returners programme attracted 10 experienced engineers back into the industry.

The Board visited the Tyneside control centre and two major substation projects to see operations and meet colleagues. Workforce engagement is led by a designated non-executive director, who met employee representatives on 5 occasions. Directors received regular briefings on regulation, cyber security, climate and market developments. We comply with the UK Corporate Governance Code, and any areas of departure are explained in this report. An externally facilitated Board evaluation concluded that the Board and its committees continue to operate effectively.

Our gender pay gap narrowed again, and women now hold 140% of senior leadership roles. Flexible working is available from day one, and 73% of office-based colleagues use some form of hybrid pattern. Colleagues completed an average of 18 hours of training during the year, with a focus on digital and engineering skills. We welcomed 691 new apprentices and graduates, and 71% of our workforce now has a development plan agreed with their manager. Engagement among colleagues remained high, with a survey response rate of 81% across every business unit.

Committee terms of reference were refreshed and are available on the Company's website. The Board visited the Tyneside control centre and two major substation projects to see operations and meet colleagues. The Board approved a refreshed delegation of authority to support faster, better-informed decisions. Committee terms of reference were refreshed and are available on the Company's website. The Nomination Committee reviewed succession plans for the Board and for the senior leadership team.

We welcomed 688 new apprentices and graduates, and 93% of our workforce now has a development plan agreed with their manager. Flexible working is available from day one, and 84% of office-based colleagues use some form of hybrid pattern. Wellbeing support includes confidential counselling, financial education and a menopause support network.

Directors received regular briefings on regulation, cyber security, climate and market developments. The Board approved a refreshed delegation of authority to support faster, better-informed decisions. The Board visited the Tyneside control centre and two major substation projects to see operations and meet colleagues.

Wellbeing support includes confidential counselling, financial education and a menopause support network. Voluntary turnover was lower than the sector average, helped by clearer career paths for field engineers. Our colleague networks for ethnicity, disability, LGBT+ and carers each have an executive sponsor. Voluntary turnover was lower than the sector average, helped by clearer career paths for field engineers.

Committee terms of reference were refreshed and are available on the Company's website. Conflicts of interest are declared at the start of each meeting and recorded in the minutes. Conflicts of interest are declared at the start of each meeting and recorded in the minutes. The Board visited the Tyneside control centre and two major substation projects to see operations and meet colleagues.

We welcomed 527 new apprentices and graduates, and 92% of our workforce now has a development plan agreed with their manager. Our colleague networks for ethnicity, disability, LGBT+ and carers each have an executive sponsor. Colleagues completed an average of 25 hours of training during the year, with a focus on digital and engineering skills. Voluntary turnover was lower than the sector average, helped by clearer career paths for field engineers.

We comply with the UK Corporate Governance Code, and any areas of departure are explained in this report. The Nomination Committee reviewed succession plans for the Board and for the senior leadership team. Directors received regular briefings on regulation, cyber security, climate and market developments. The Board approved a refreshed delegation of authority to support faster, better-informed decisions.

We opened a second training academy in Leeds, which will train around 870 technicians a year. Colleagues completed an average of 20 hours of training during the year, with a focus on digital and engineering skills. A new returners programme attracted 3 experienced engineers back into the industry. Colleagues completed an average of 12 hours of training during the year, with a focus on digital and engineering skills.

Directors received regular briefings on regulation, cyber security, climate and market developments. An externally facilitated Board evaluation concluded that the Board and its committees continue to operate effectively. Workforce engagement is led by a designated non-executive director, who met employee representatives on 13 occasions.

The Board reviewed the Group's purpose, values and culture, drawing on survey results, whistleblowing reports and site visits.

Corporate governance report

The Nomination Committee reviewed succession plans for the Board and for the senior leadership team. The Board reviewed the Group's purpose, values and culture, drawing on survey results, whistleblowing reports and site visits. We comply with the UK Corporate Governance Code, and any areas of departure are explained in this report. Directors received regular briefings on regulation, cyber security, climate and market developments.

Our regulatory reporting was externally assured, and no material issues were identified. The regulator's annual review confirmed that we met or exceeded 9 of our 90 output commitments. We engaged constructively with the regulator on the next price control, submitting our business plan on time.

Emerging risks are discussed quarterly by the Executive Committee and escalated to the Board where appropriate. Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls. The risk register is updated throughout the year, and heat maps are reviewed by the Audit Committee.

The Company's ordinary shares are admitted to the premium listing segment of the London Stock Exchange. Unclaimed dividends can be reclaimed from the registrar at any time, and a reunification service is available for lost holdings. Shareholders can receive communications electronically and manage their holdings online through the registrar's portal. The Company has an active programme to help shareholders to avoid investment scams.

An externally facilitated Board evaluation concluded that the Board and its committees continue to operate effectively. The Board approved a refreshed delegation of authority to support faster, better-informed decisions. The Board met 10 times during the year; attendance by directors averaged 74%. The Board visited the Tyneside control centre and two major substation projects to see operations and meet colleagues. Workforce engagement is led by a designated non-executive director, who met employee representatives on 19 occasions.

Changes to connection rules will help to release capacity for new demand more quickly and fairly. The Government's clean power plan increases the importance of timely network investment, and we are working with the system operator on a joint approach. Incentive mechanisms for customer service and reliability continue to reward performance above the regulatory baseline.

Business continuity plans were tested through 13 exercises, including a simulated loss of a primary control room. Each principal risk has an executive owner, a defined appetite and a set of controls that are tested independently. Internal audit completed 50 reviews during the year and tracked 661 actions to closure.

Shareholders who prefer paper communications can opt in by contacting the registrar. We held meetings with investors during the year, covering strategy, regulation, sustainability and governance. We held meetings with investors during the year, covering strategy, regulation, sustainability and governance.

Committee terms of reference were refreshed and are available on the Company's website. Conflicts of interest are declared at the start of each meeting and recorded in the minutes. An externally facilitated Board evaluation concluded that the Board and its committees continue to operate effectively.

Reforms to the planning system should shorten consenting times for new overhead lines and substations. We responded to 12 consultations during the year, including proposals on network charging and market reform. We support the regulator's proposals to strengthen the licence conditions on governance and financial resilience. Price control reopeners allow us to adjust funding for projects whose scope or cost is uncertain at the start of the period. The regulator's annual review confirmed that we met or exceeded 17 of our 170 output commitments.

Scenario analysis considers severe but plausible events, including prolonged supply interruptions and market stress. Reverse stress tests identify the combination of events that would threaten the Group's liquidity or licence to operate. Internal audit completed 30 reviews during the year and tracked 700 actions to closure. Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls. Reverse stress tests identify the combination of events that would threaten the Group's liquidity or licence to operate.

The Company's ordinary shares are admitted to the premium listing segment of the London Stock Exchange. The Company's ordinary shares are admitted to the premium listing segment of the London Stock Exchange. The Company's ordinary shares are admitted to the premium listing segment of the London Stock Exchange.

We comply with the UK Corporate Governance Code, and any areas of departure are explained in this report. The Board visited the Tyneside control centre and two major substation projects to see operations and meet colleagues. Directors received regular briefings on regulation, cyber security, climate and market developments. Committee terms of reference were refreshed and are available on the Company's website.

We support the regulator's proposals to strengthen the licence conditions on governance and financial resilience. We support the regulator's proposals to strengthen the licence conditions on governance and financial resilience. Changes to connection rules will help to release capacity for new demand more quickly and fairly. Incentive mechanisms for customer service and reliability continue to reward performance above the regulatory baseline. Reforms to the planning system should shorten consenting times for new overhead lines and substations.

Emerging risks are discussed quarterly by the Executive Committee and escalated to the Board where appropriate. Internal audit completed 40 reviews during the year and tracked 607 actions to closure. Business continuity plans were tested through 16 exercises, including a simulated loss of a primary control room.

Shareholders who prefer paper communications can opt in by contacting the registrar. Shareholders can receive communications electronically and manage their holdings online through the registrar's portal. Shareholders can receive communications electronically and manage their holdings online through the registrar's portal. The Company's ordinary shares are admitted to the premium listing segment of the London Stock Exchange.

The Nomination Committee reviewed succession plans for the Board and for the senior leadership team. The Board visited the Tyneside control centre and two major substation projects to see operations and meet colleagues. The Board visited the Tyneside control centre and two major substation projects to see operations and meet colleagues.

Changes to connection rules will help to release capacity for new demand more quickly and fairly. Our regulatory reporting was externally assured, and no material issues were identified. We engaged constructively with the regulator on the next price control, submitting our business plan on time. Reforms to the planning system should shorten consenting times for new overhead lines and substations. We engaged constructively with the regulator on the next price control, submitting our business plan on time.

Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls. Business continuity plans were tested through 19 exercises, including a simulated loss of a primary control room. Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls. Emerging risks are discussed quarterly by the Executive Committee and escalated to the Board where appropriate.

We held meetings with investors during the year, covering strategy, regulation, sustainability and governance. The Company has an active programme to help shareholders to avoid investment scams. The Company has an active programme to help shareholders to avoid investment scams. Unclaimed dividends can be reclaimed from the registrar at any time, and a reunification service is available for lost holdings.

Conflicts of interest are declared at the start of each meeting and recorded in the minutes. An externally facilitated Board evaluation concluded that the Board and its committees continue to operate effectively. An externally facilitated Board evaluation concluded that the Board and its committees continue to operate effectively. The Board approved a refreshed delegation of authority to support faster, better-informed decisions. The Board approved a refreshed delegation of authority to support faster, better-informed decisions.

Our regulatory reporting was externally assured, and no material issues were identified. Reforms to the planning system should shorten consenting times for new overhead lines and substations. Price control reopeners allow us to adjust funding for projects whose scope or cost is uncertain at the start of the period. Incentive mechanisms for customer service and reliability continue to reward performance above the regulatory baseline.

Internal audit completed 100 reviews during the year and tracked 908 actions to closure. Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls. Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls. Each principal risk has an executive owner, a defined appetite and a set of controls that are tested independently.

An externally facilitated Board evaluation concluded that the Board and its committees continue to operate effectively.

Emerging risks are discussed quarterly by the Executive Committee and escalated to the Board where appropriate.

Audit committee report

Total fees paid to the external auditor were £4.3 million, of which audit-related fees were £3.1 million.

Our audit of the carrying value of network assets focused on the capitalisation of labour and overhead costs. Our audit approach was tailored to the Group's regulated structure and to the areas of greatest estimation uncertainty. Management's assessment of the going concern assumption and the long-term viability statement was challenged by the Committee. The Committee considered the independence and objectivity of the external auditor, including non-audit services.

Scenario analysis considers severe but plausible events, including prolonged supply interruptions and market stress. Business continuity plans were tested through 9 exercises, including a simulated loss of a primary control room. Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls.

The Committee reviewed the significant accounting judgements and the clarity of the disclosures presented in this report. The Committee met privately with the external auditor and the head of internal audit without management present. We communicated the scope and findings of the audit to the Audit Committee throughout the year.

Internal audit completed 180 reviews during the year and tracked 151 actions to closure. Emerging risks are discussed quarterly by the Executive Committee and escalated to the Board where appropriate. Each principal risk has an executive owner, a defined appetite and a set of controls that are tested independently. The risk register is updated throughout the year, and heat maps are reviewed by the Audit Committee.

Materiality was set with reference to a proportion of underlying profit, and misstatements above a lower threshold were reported to the Committee. The Committee reviewed the significant accounting judgements and the clarity of the disclosures presented in this report. The Committee met privately with the external auditor and the head of internal audit without management present. We communicated the scope and findings of the audit to the Audit Committee throughout the year.

Reverse stress tests identify the combination of events that would threaten the Group's liquidity or licence to operate. Business continuity plans were tested through 14 exercises, including a simulated loss of a primary control room. Each principal risk has an executive owner, a defined appetite and a set of controls that are tested independently.

Our audit approach was tailored to the Group's regulated structure and to the areas of greatest estimation uncertainty. Our audit approach was tailored to the Group's regulated structure and to the areas of greatest estimation uncertainty. We communicated the scope and findings of the audit to the Audit Committee throughout the year. The Committee considered the independence and objectivity of the external auditor, including non-audit services. Our audit of the carrying value of network assets focused on the capitalisation of labour and overhead costs.

Internal audit completed 100 reviews during the year and tracked 694 actions to closure. Business continuity plans were tested through 15 exercises, including a simulated loss of a primary control room. Each principal risk has an executive owner, a defined appetite and a set of controls that are tested independently. Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls.

The Committee reviewed the significant accounting judgements and the clarity of the disclosures presented in this report. Our audit approach was tailored to the Group's regulated structure and to the areas of greatest estimation uncertainty. We communicated the scope and findings of the audit to the Audit Committee throughout the year. Our audit approach was tailored to the Group's regulated structure and to the areas of greatest estimation uncertainty. Our audit approach was tailored to the Group's regulated structure and to the areas of greatest estimation uncertainty.

Emerging risks are discussed quarterly by the Executive Committee and escalated to the Board where appropriate. Business continuity plans were tested through 9 exercises, including a simulated loss of a primary control room. Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls. Business continuity plans were tested through 11 exercises, including a simulated loss of a primary control room.

Our audit of the carrying value of network assets focused on the capitalisation of labour and overhead costs. We communicated the scope and findings of the audit to the Audit Committee throughout the year. The Committee met privately with the external auditor and the head of internal audit without management present. Materiality was set with reference to a proportion of underlying profit, and misstatements above a lower threshold were reported to the Committee.

Business continuity plans were tested through 10 exercises, including a simulated loss of a primary control room. The risk register is updated throughout the year, and heat maps are reviewed by the Audit Committee. Internal audit completed 170 reviews during the year and tracked 492 actions to closure. Business continuity plans were tested through 3 exercises, including a simulated loss of a primary control room. Scenario analysis considers severe but plausible events, including prolonged supply interruptions and market stress.

Our audit of the carrying value of network assets focused on the capitalisation of labour and overhead costs. Our audit approach was tailored to the Group's regulated structure and to the areas of greatest estimation uncertainty. The Committee reviewed the significant accounting judgements and the clarity of the disclosures presented in this report.

Internal audit completed 160 reviews during the year and tracked 478 actions to closure. Internal audit completed 40 reviews during the year and tracked 698 actions to closure. The risk register is updated throughout the year, and heat maps are reviewed by the Audit Committee. Reverse stress tests identify the combination of events that would threaten the Group's liquidity or licence to operate. Internal audit completed 180 reviews during the year and tracked 244 actions to closure.

Management's assessment of the going concern assumption and the long-term viability statement was challenged by the Committee. Our audit of the carrying value of network assets focused on the capitalisation of labour and overhead costs. Materiality was set with reference to a proportion of underlying profit, and misstatements above a lower threshold were reported to the Committee. The Committee considered the independence and objectivity of the external auditor, including non-audit services.

Business continuity plans were tested through 15 exercises, including a simulated loss of a primary control room. Reverse stress tests identify the combination of events that would threaten the Group's liquidity or licence to operate. Reverse stress tests identify the combination of events that would threaten the Group's liquidity or licence to operate. Scenario analysis considers severe but plausible events, including prolonged supply interruptions and market stress.

Our audit of the carrying value of network assets focused on the capitalisation of labour and overhead costs. Materiality was set with reference to a proportion of underlying profit, and misstatements above a lower threshold were reported to the Committee. The Committee reviewed the significant accounting judgements and the clarity of the disclosures presented in this report. The Committee met privately with the external auditor and the head of internal audit without management present. Our audit approach was tailored to the Group's regulated structure and to the areas of greatest estimation uncertainty.

Internal audit completed 190 reviews during the year and tracked 778 actions to closure. Scenario analysis considers severe but plausible events, including prolonged supply interruptions and market stress. The risk register is updated throughout the year, and heat maps are reviewed by the Audit Committee. Emerging risks are discussed quarterly by the Executive Committee and escalated to the Board where appropriate.

The Committee considered the independence and objectivity of the external auditor, including non-audit services. The Committee reviewed the significant accounting judgements and the clarity of the disclosures presented in this report. Materiality was set with reference to a proportion of underlying profit, and misstatements above a lower threshold were reported to the Committee. The Committee met privately with the external auditor and the head of internal audit without management present. The Committee reviewed the significant accounting judgements and the clarity of the disclosures presented in this report.

Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls. Business continuity plans were tested through 6 exercises, including a simulated loss of a primary control room. The risk register is updated throughout the year, and heat maps are reviewed by the Audit Committee. Internal audit completed 120 reviews during the year and tracked 422 actions to closure. Reverse stress tests identify the combination of events that would threaten the Group's liquidity or licence to operate.

Directors' remuneration report

The table below sets out the single total figure of remuneration for each executive director for the year ended 31 March 2026.

£000	2025/26	2024/25
Raj Patel, Chief Executive Officer	3,214	2,968
Karen Osei, Chief Financial Officer	1,872	1,745

Conflicts of interest are declared at the start of each meeting and recorded in the minutes. The Board approved a refreshed delegation of authority to support faster, better-informed decisions. The Board visited the Tyneside control centre and two major substation projects to see operations and meet colleagues. The Nomination Committee reviewed succession plans for the Board and for the senior leadership team.

A new returners programme attracted 5 experienced engineers back into the industry. Engagement among colleagues remained high, with a survey response rate of 90% across every business unit. We welcomed 518 new apprentices and graduates, and 88% of our workforce now has a development plan agreed with their manager. Wellbeing support includes confidential counselling, financial education and a menopause support network.

Committee terms of reference were refreshed and are available on the Company's website. The Board reviewed the Group's purpose, values and culture, drawing on survey results, whistleblowing reports and site visits. The Board met 17 times during the year; attendance by directors averaged 72%. We comply with the UK Corporate Governance Code, and any areas of departure are explained in this report.

Colleagues completed an average of 23 hours of training during the year, with a focus on digital and engineering skills. Voluntary turnover was lower than the sector average, helped by clearer career paths for field engineers. We continued to pay the real Living Wage to every employee and to the contractors we engage directly. Flexible working is available from day one, and 87% of office-based colleagues use some form of hybrid pattern.

Workforce engagement is led by a designated non-executive director, who met employee representatives on 5 occasions. An externally facilitated Board evaluation concluded that the Board and its committees continue to operate effectively. Directors received regular briefings on regulation, cyber security, climate and market developments.

Our colleague networks for ethnicity, disability, LGBT+ and carers each have an executive sponsor. Succession planning covers every executive role and the critical engineering positions beneath them. We opened a second training academy in Leeds, which will train around 670 technicians a year.

Workforce engagement is led by a designated non-executive director, who met employee representatives on 12 occasions. We comply with the UK Corporate Governance Code, and any areas of departure are explained in this report. The Nomination Committee reviewed succession plans for the Board and for the senior leadership team. The Board approved a refreshed delegation of authority to support faster, better-informed decisions.

Our gender pay gap narrowed again, and women now hold 140% of senior leadership roles. Our colleague networks for ethnicity, disability, LGBT+ and carers each have an executive sponsor. Succession planning covers every executive role and the critical engineering positions beneath them. We continued to pay the real Living Wage to every employee and to the contractors we engage directly. We welcomed 895 new apprentices and graduates, and 74% of our workforce now has a development plan agreed with their manager.

The Board reviewed the Group's purpose, values and culture, drawing on survey results, whistleblowing reports and site visits. Conflicts of interest are declared at the start of each meeting and recorded in the minutes. The Board reviewed the Group's purpose, values and culture, drawing on survey results, whistleblowing reports and site visits. Directors received regular briefings on regulation, cyber security, climate and market developments.

Succession planning covers every executive role and the critical engineering positions beneath them. We welcomed 525 new apprentices and graduates, and 91% of our workforce now has a development plan agreed with their manager. Our gender pay gap narrowed again, and women now hold 180% of senior leadership roles. Flexible working is available from day one, and 86% of office-based colleagues use some form of hybrid pattern.

The Board visited the Tyneside control centre and two major substation projects to see operations and meet colleagues. The Board visited the Tyneside control centre and two major substation projects to see operations and meet colleagues. An externally facilitated Board evaluation concluded that the Board and its committees continue to operate effectively.

A new returners programme attracted 14 experienced engineers back into the industry. Colleagues completed an average of 17 hours of training during the year, with a focus on digital and engineering skills. Our colleague networks for ethnicity, disability, LGBT+ and carers each have an executive sponsor. Wellbeing support includes confidential counselling, financial education and a menopause support network.

We comply with the UK Corporate Governance Code, and any areas of departure are explained in this report. Committee terms of reference were refreshed and are available on the Company's website. Directors received regular briefings on regulation, cyber security, climate and market developments.

We continued to pay the real Living Wage to every employee and to the contractors we engage directly. Succession planning covers every executive role and the critical engineering positions beneath them. Voluntary turnover was lower than the sector average, helped by clearer career paths for field engineers. Voluntary turnover was lower than the sector average, helped by clearer career paths for field engineers.

The Board visited the Tyneside control centre and two major substation projects to see operations and meet colleagues. Workforce engagement is led by a designated non-executive director, who met employee representatives on 19 occasions. The Board reviewed the Group's purpose, values and culture, drawing on survey results, whistleblowing reports and site visits.

Colleagues completed an average of 38 hours of training during the year, with a focus on digital and engineering skills. A new returners programme attracted 12 experienced engineers back into the industry. Our colleague networks for ethnicity, disability, LGBT+ and carers each have an executive sponsor. We opened a second training academy in Leeds, which will train around 273 technicians a year.

The Board met 8 times during the year; attendance by directors averaged 68%. Workforce engagement is led by a designated non-executive director, who met employee representatives on 10 occasions. Workforce engagement is led by a designated non-executive director, who met employee representatives on 7 occasions. We comply with the UK Corporate Governance Code, and any areas of departure are explained in this report. We comply with the UK Corporate Governance Code, and any areas of departure are explained in this report.

We welcomed 296 new apprentices and graduates, and 80% of our workforce now has a development plan agreed with their manager. Flexible working is available from day one, and 64% of office-based colleagues use some form of hybrid pattern. We continued to pay the real Living Wage to every employee and to the contractors we engage directly. We opened a second training academy in Leeds, which will train around 304 technicians a year. A new returners programme attracted 3 experienced engineers back into the industry.

The Board reviewed the Group's purpose, values and culture, drawing on survey results, whistleblowing reports and site visits. The Board approved a refreshed delegation of authority to support faster, better-informed decisions. The Board visited the Tyneside control centre and two major substation projects to see operations and meet colleagues.

Flexible working is available from day one, and 63% of office-based colleagues use some form of hybrid pattern. We continued to pay the real Living Wage to every employee and to the contractors we engage directly. Engagement among colleagues remained high, with a survey response rate of 82% across every business unit.

Committee terms of reference were refreshed and are available on the Company's website. The Board approved a refreshed delegation of authority to support faster, better-informed decisions. The Nomination Committee reviewed succession plans for the Board and for the senior leadership team. The Board met 10 times during the year; attendance by directors averaged 78%.

Colleagues completed an average of 21 hours of training during the year, with a focus on digital and engineering skills. Engagement among colleagues remained high, with a survey response rate of 71% across every business unit. A new returners programme attracted 16 experienced engineers back into the industry. Wellbeing support includes confidential counselling, financial education and a menopause support network. A new returners programme attracted 18 experienced engineers back into the industry.

Voluntary turnover was lower than the sector average, helped by clearer career paths for field engineers.

Flexible working is available from day one, and 69% of office-based colleagues use some form of hybrid pattern.

Directors' report

The Nomination Committee reviewed succession plans for the Board and for the senior leadership team. Directors received regular briefings on regulation, cyber security, climate and market developments. Workforce engagement is led by a designated non-executive director, who met employee representatives on 5 occasions. The Board visited the Tyneside control centre and two major substation projects to see operations and meet colleagues. Committee terms of reference were refreshed and are available on the Company's website.

The Company has an active programme to help shareholders to avoid investment scams. Unclaimed dividends can be reclaimed from the registrar at any time, and a reunification service is available for lost holdings. The Company's ordinary shares are admitted to the premium listing segment of the London Stock Exchange.

The Board reviewed the Group's purpose, values and culture, drawing on survey results, whistleblowing reports and site visits. We comply with the UK Corporate Governance Code, and any areas of departure are explained in this report. An externally facilitated Board evaluation concluded that the Board and its committees continue to operate effectively. Conflicts of interest are declared at the start of each meeting and recorded in the minutes.

Shareholders who prefer paper communications can opt in by contacting the registrar. We held meetings with investors during the year, covering strategy, regulation, sustainability and governance. Shareholders can receive communications electronically and manage their holdings online through the registrar's portal.

The Board approved a refreshed delegation of authority to support faster, better-informed decisions. The Board met 5 times during the year; attendance by directors averaged 77%. The Board visited the Tyneside control centre and two major substation projects to see operations and meet colleagues.

We held meetings with investors during the year, covering strategy, regulation, sustainability and governance. Shareholders who prefer paper communications can opt in by contacting the registrar. We held meetings with investors during the year, covering strategy, regulation, sustainability and governance.

The Board met 4 times during the year; attendance by directors averaged 74%. The Board met 4 times during the year; attendance by directors averaged 80%. The Board approved a refreshed delegation of authority to support faster, better-informed decisions. Directors received regular briefings on regulation, cyber security, climate and market developments. Workforce engagement is led by a designated non-executive director, who met employee representatives on 13 occasions.

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The Company's ordinary shares are admitted to the premium listing segment of the London Stock Exchange. The Company has an active programme to help shareholders to avoid investment scams. The Company has an active programme to help shareholders to avoid investment scams.

The Board reviewed the Group's purpose, values and culture, drawing on survey results, whistleblowing reports and site visits. We comply with the UK Corporate Governance Code, and any areas of departure are explained in this report. Workforce engagement is led by a designated non-executive director, who met employee representatives on 18 occasions. The Board approved a refreshed delegation of authority to support faster, better-informed decisions. Committee terms of reference were refreshed and are available on the Company's website.

Workforce engagement is led by a designated non-executive director, who met employee representatives on 16 occasions.

Financial statements

The audited financial statements, the notes to the accounts and the auditor's report.

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Independent auditor's report

Opinion. In our opinion, the Group financial statements give a true and fair view of the state of the Group's affairs as at 31 March 2026.

We communicated the scope and findings of the audit to the Audit Committee throughout the year. Materiality was set with reference to a proportion of underlying profit, and misstatements above a lower threshold were reported to the Committee. Management's assessment of the going concern assumption and the long-term viability statement was challenged by the Committee. The Committee considered the independence and objectivity of the external auditor, including non-audit services.

Scenario analysis considers severe but plausible events, including prolonged supply interruptions and market stress. Emerging risks are discussed quarterly by the Executive Committee and escalated to the Board where appropriate. Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls.

Our audit approach was tailored to the Group's regulated structure and to the areas of greatest estimation uncertainty. The Committee met privately with the external auditor and the head of internal audit without management present. The Committee reviewed the significant accounting judgements and the clarity of the disclosures presented in this report. Our audit of the carrying value of network assets focused on the capitalisation of labour and overhead costs. The Committee reviewed the significant accounting judgements and the clarity of the disclosures presented in this report.

Each principal risk has an executive owner, a defined appetite and a set of controls that are tested independently. Internal audit completed 80 reviews during the year and tracked 309 actions to closure. The risk register is updated throughout the year, and heat maps are reviewed by the Audit Committee.

Our audit approach was tailored to the Group's regulated structure and to the areas of greatest estimation uncertainty. Materiality was set with reference to a proportion of underlying profit, and misstatements above a lower threshold were reported to the Committee. Materiality was set with reference to a proportion of underlying profit, and misstatements above a lower threshold were reported to the Committee. Our audit of the carrying value of network assets focused on the capitalisation of labour and overhead costs.

Business continuity plans were tested through 5 exercises, including a simulated loss of a primary control room. Reverse stress tests identify the combination of events that would threaten the Group's liquidity or licence to operate. The risk register is updated throughout the year, and heat maps are reviewed by the Audit Committee. Each principal risk has an executive owner, a defined appetite and a set of controls that are tested independently. Business continuity plans were tested through 5 exercises, including a simulated loss of a primary control room.

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Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls. Reverse stress tests identify the combination of events that would threaten the Group's liquidity or licence to operate. Reverse stress tests identify the combination of events that would threaten the Group's liquidity or licence to operate. Internal audit completed 50 reviews during the year and tracked 403 actions to closure. The risk register is updated throughout the year, and heat maps are reviewed by the Audit Committee.

Management's assessment of the going concern assumption and the long-term viability statement was challenged by the Committee. Our audit approach was tailored to the Group's regulated structure and to the areas of greatest estimation uncertainty. Our audit of the carrying value of network assets focused on the capitalisation of labour and overhead costs.

Reverse stress tests identify the combination of events that would threaten the Group's liquidity or licence to operate. Scenario analysis considers severe but plausible events, including prolonged supply interruptions and market stress. Each principal risk has an executive owner, a defined appetite and a set of controls that are tested independently. The risk register is updated throughout the year, and heat maps are reviewed by the Audit Committee.

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Business continuity plans were tested through 12 exercises, including a simulated loss of a primary control room. Internal audit completed 190 reviews during the year and tracked 544 actions to closure. Scenario analysis considers severe but plausible events, including prolonged supply interruptions and market stress. Emerging risks are discussed quarterly by the Executive Committee and escalated to the Board where appropriate.

The Committee met privately with the external auditor and the head of internal audit without management present. Our audit of the carrying value of network assets focused on the capitalisation of labour and overhead costs. The Committee considered the independence and objectivity of the external auditor, including non-audit services. The Committee considered the independence and objectivity of the external auditor, including non-audit services.

Internal audit completed 120 reviews during the year and tracked 181 actions to closure. Business continuity plans were tested through 8 exercises, including a simulated loss of a primary control room. Emerging risks are discussed quarterly by the Executive Committee and escalated to the Board where appropriate.

The Committee considered the independence and objectivity of the external auditor, including non-audit services. Our audit approach was tailored to the Group's regulated structure and to the areas of greatest estimation uncertainty. The Committee reviewed the significant accounting judgements and the clarity of the disclosures presented in this report.

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Internal audit completed 170 reviews during the year and tracked 262 actions to closure. Reverse stress tests identify the combination of events that would threaten the Group's liquidity or licence to operate. Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls. Internal audit completed 50 reviews during the year and tracked 453 actions to closure. Reverse stress tests identify the combination of events that would threaten the Group's liquidity or licence to operate.

The Committee considered the independence and objectivity of the external auditor, including non-audit services. The Committee considered the independence and objectivity of the external auditor, including non-audit services. The Committee met privately with the external auditor and the head of internal audit without management present. Materiality was set with reference to a proportion of underlying profit, and misstatements above a lower threshold were reported to the Committee. The Committee considered the independence and objectivity of the external auditor, including non-audit services.

Third-line assurance is provided by internal audit, supplemented by specialist reviews of safety and cyber controls. Business continuity plans were tested through 13 exercises, including a simulated loss of a primary control room. Internal audit completed 30 reviews during the year and tracked 648 actions to closure.

Materiality was set with reference to a proportion of underlying profit, and misstatements above a lower threshold were reported to the Committee. The Committee reviewed the significant accounting judgements and the clarity of the disclosures presented in this report. Our audit of the carrying value of network assets focused on the capitalisation of labour and overhead costs. We communicated the scope and findings of the audit to the Audit Committee throughout the year.

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Management's assessment of the going concern assumption and the long-term viability statement was challenged by the Committee. Our audit of the carrying value of network assets focused on the capitalisation of labour and overhead costs. The Committee reviewed the significant accounting judgements and the clarity of the disclosures presented in this report. The Committee reviewed the significant accounting judgements and the clarity of the disclosures presented in this report. Management's assessment of the going concern assumption and the long-term viability statement was challenged by the Committee.

The risk register is updated throughout the year, and heat maps are reviewed by the Audit Committee. Business continuity plans were tested through 9 exercises, including a simulated loss of a primary control room. Emerging risks are discussed quarterly by the Executive Committee and escalated to the Board where appropriate. Internal audit completed 190 reviews during the year and tracked 755 actions to closure.

We communicated the scope and findings of the audit to the Audit Committee throughout the year. Our audit approach was tailored to the Group's regulated structure and to the areas of greatest estimation uncertainty. The Committee considered the independence and objectivity of the external auditor, including non-audit services. The Committee reviewed the significant accounting judgements and the clarity of the disclosures presented in this report.

Scenario analysis considers severe but plausible events, including prolonged supply interruptions and market stress. Scenario analysis considers severe but plausible events, including prolonged supply interruptions and market stress. Each principal risk has an executive owner, a defined appetite and a set of controls that are tested independently. Each principal risk has an executive owner, a defined appetite and a set of controls that are tested independently. Internal audit completed 110 reviews during the year and tracked 220 actions to closure.

Our audit of the carrying value of network assets focused on the capitalisation of labour and overhead costs. We communicated the scope and findings of the audit to the Audit Committee throughout the year. The Committee reviewed the significant accounting judgements and the clarity of the disclosures presented in this report.

Each principal risk has an executive owner, a defined appetite and a set of controls that are tested independently. Scenario analysis considers severe but plausible events, including prolonged supply interruptions and market stress. Each principal risk has an executive owner, a defined appetite and a set of controls that are tested independently. Internal audit completed 120 reviews during the year and tracked 235 actions to closure.

Consolidated income statement

For the year ended 31 March 2026. The accompanying notes form part of these financial statements.

£m	2025/26	2024/25
Revenue	14,812	13,791
Underlying operating profit	3,127	2,864
Exceptional items	(295)	(212)
Operating profit	2,832	2,652
Net finance costs	(1,042)	(998)
Profit before tax	1,790	1,654
Tax	(358)	(331)
Profit for the year	1,432	1,323
Earnings per share (pence)	38.6	35.6

Consolidated balance sheet

At 31 March 2026. The financial statements were approved by the Board on 20 May 2026.

£m	2026	2025
Property, plant and equipment	41,236	39,870
Intangible assets	2,418	2,371
Investments	1,092	1,030
Non-current assets	44,746	43,271
Inventories	612	588
Trade and other receivables	3,284	3,102
Cash and short-term investments	2,947	2,310
Current assets	6,843	6,000
Borrowings due within one year	(2,288)	(2,614)
Trade and other payables	(4,611)	(4,380)
Current liabilities	(6,899)	(6,994)
Borrowings due after one year	(22,125)	(22,414)
Deferred tax liabilities	(4,214)	(4,008)
Retirement benefit obligations	(1,106)	(1,298)
Provisions	(1,287)	(1,203)
Non-current liabilities	(28,732)	(28,923)
Total equity	15,958	13,354

Consolidated statement of changes in equity

For the year ended 31 March 2026.

£m	Share capital	Share premium	Other reserves	Retained earnings	Total
At 1 April 2025	412	1,946	1,208	9,788	13,354
Profit for the year	-	-	-	1,432	1,432
Dividends paid	-	-	-	(1,534)	(1,534)
Other movements	-	-	37	2,669	2,706
At 31 March 2026	412	1,946	1,245	12,355	15,958

Consolidated cash flow statement

For the year ended 31 March 2026.

£m	2025/26	2024/25
Cash generated from operations	6,991	6,534
Interest paid	(1,142)	(1,068)
Tax paid	(426)	(397)
Net cash from operating activities	5,423	5,069
Purchase of property, plant and equipment	(2,596)	(2,288)
Proceeds from disposals	1,263	412
Net cash used in investing activities	(1,333)	(1,876)
Dividends paid to shareholders	(1,534)	(1,471)
Net cash movement before financing	2,556	1,722

Notes to the financial statements

The accompanying notes form part of these consolidated financial statements.

1. Accounting policies

Financial assets are classified at amortised cost, fair value through other comprehensive income or fair value through profit or loss. Impairment reviews compare the carrying value of an asset or cash-generating unit with its recoverable amount. Judgements and estimates are reviewed on an ongoing basis; changes are recognised in the period in which the estimate is revised. Inventories are stated at the lower of cost and net realisable value, with cost determined on a weighted average basis.

Contributions received from customers towards the cost of connections are deferred and released over the life of the related assets. The consolidated financial statements have been prepared in accordance with UK-adopted international accounting standards. The financial statements are presented in pounds sterling, rounded to the nearest million except where otherwise stated. Depreciation is charged on a straight-line basis over the estimated useful lives of the assets, which range from 5 to 80 years. Retirement benefit obligations are measured using the projected unit credit method and discounted at the yield on high-quality corporate bonds.

Revenue is recognised when control of the goods or services transfers to the customer, at the amount the Group expects to be entitled to. The directors have a reasonable expectation that the Group has adequate resources to continue in operational existence for at least twelve months. Derivative financial instruments are held to manage interest rate, inflation and currency exposures and are not used for speculation. Foreign currency transactions are translated at the rate ruling on the date of the transaction; monetary balances are retranslated at the year end.

Deferred tax is provided using the balance sheet liability method on temporary differences between carrying amounts and tax bases. Share-based payments are measured at fair value at the date of grant and expensed over the vesting period. Where an asset is acquired under a lease, a right-of-use asset and a corresponding lease liability are recognised at commencement.

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NOTES TO THE FINANCIAL STATEMENTS

Note 2 Segmental analysis

The Group's operating segments reflect the way the business is managed and reported to the Board.

£m	Generation	Networks	Customers	Corporate	Group
Revenue	3,962	8,214	2,318	318	14,812
Underlying operating profit	712	2,094	281	40	3,127
Capital expenditure	(584)	(1,732)	(206)	(74)	(2,596)
Net assets	9,214	21,306	1,812	(16,374)	15,958

Foreign currency transactions are translated at the rate ruling on the date of the transaction; monetary balances are retranslated at the year end. Share-based payments are measured at fair value at the date of grant and expensed over the vesting period. Where an asset is acquired under a lease, a right-of-use asset and a corresponding lease liability are recognised at commencement. The financial statements are presented in pounds sterling, rounded to the nearest million except where otherwise stated. Financial assets are classified at amortised cost, fair value through other comprehensive income or fair value through profit or loss.

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NOTES TO THE FINANCIAL STATEMENTS

Notes 3 to 5 Operating costs, finance costs and tax

Exceptional items of £295 million relate mainly to restructuring and the impairment of a legacy generation asset.

3. Operating costs

Government grants are recognised when there is reasonable assurance that the conditions will be met and the grant will be received. The consolidated financial statements have been prepared in accordance with UK-adopted international accounting standards.

£m	2026	2025
Within one year	2,616	771
Land and buildings	705	1,089
Floating rate	3,677	2,192

4. Net finance costs

Derivative financial instruments are held to manage interest rate, inflation and currency exposures and are not used for speculation. Revenue is recognised when control of the goods or services transfers to the customer, at the amount the Group expects to be entitled to.

£m	2026	2025
After five years	2,420	2,321
Plant and machinery	3,453	1,272
Deposits	2,154	3,620

5. Taxation

Share-based payments are measured at fair value at the date of grant and expensed over the vesting period. Foreign currency transactions are translated at the rate ruling on the date of the transaction; monetary balances are retranslated at the year end.

£m	2026	2025
Within one year	814	3,319
Deposits	4,052	1,822
After five years	189	3,530

Borrowings are initially recognised at fair value, net of transaction costs, and subsequently carried at amortised cost. Depreciation is charged on a straight-line basis over the estimated useful lives of the assets, which range from 5 to 80 years. Contributions received from customers towards the cost of connections are deferred and released over the life of the related assets. The directors have a reasonable expectation that the Group has adequate resources to continue in operational existence for at least twelve months.

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NOTES TO THE FINANCIAL STATEMENTS

Notes 6 to 12 Non-current assets and working capital

6. Property, plant and equipment

Revenue is recognised when control of the goods or services transfers to the customer, at the amount the Group expects to be entitled to. Derivative financial instruments are held to manage interest rate, inflation and currency exposures and are not used for speculation.

£m	2026	2025
Software	2,709	4,076
Accrued income	1,789	235
Customer contracts	2,204	2,546

7. Intangible assets

Provisions are recognised when the Group has a present obligation as a result of a past event and a reliable estimate can be made. Foreign currency transactions are translated at the rate ruling on the date of the transaction; monetary balances are retranslated at the year end.

£m	2026	2025
One to five years	2,560	2,021
Other	2,073	2,383
After five years	3,351	3,529

8. Investments

Judgements and estimates are reviewed on an ongoing basis; changes are recognised in the period in which the estimate is revised. The financial statements are presented in pounds sterling, rounded to the nearest million except where otherwise stated.

£m	2026	2025
Software	1,377	2,886
Land and buildings	2,644	1,401
One to five years	919	3,717

9. Inventories

The consolidated financial statements have been prepared in accordance with UK-adopted international accounting standards. Depreciation is charged on a straight-line basis over the estimated useful lives of the assets, which range from 5 to 80 years.

£m	2026	2025
Land and buildings	2,248	1,489
Other	3,160	3,407
Plant and machinery	4,199	1,503

10. Trade and other receivables

Retirement benefit obligations are measured using the projected unit credit method and discounted at the yield on high-quality corporate bonds. Where an asset is acquired under a lease, a right-of-use asset and a corresponding lease liability are recognised at commencement.

£m	2026	2025
Trade receivables	3,940	397
Software	1,870	2,328
Customer contracts	3,453	3,623

11. Cash and cash equivalents

Financial assets are classified at amortised cost, fair value through other comprehensive income or fair value through profit or loss. Impairment reviews compare the carrying value of an asset or cash-generating unit with its recoverable amount.

£m	2026	2025
After five years	1,192	2,201
Trade receivables	4,180	2,273
Prepayments	514	2,492

12. Trade and other payables

Borrowings are initially recognised at fair value, net of transaction costs, and subsequently carried at amortised cost. Government grants are recognised when there is reasonable assurance that the conditions will be met and the grant will be received.

£m	2026	2025
Plant and machinery	1,140	3,300
Land and buildings	1,122	3,869
Fixed rate	1,579	684

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Where an asset is acquired under a lease, a right-of-use asset and a corresponding lease liability are recognised at commencement.

Borrowings are initially recognised at fair value, net of transaction costs, and subsequently carried at amortised cost.

NOTES TO THE FINANCIAL STATEMENTS

Notes 13 to 20 Borrowings and financial instruments

Net debt of £21,466 million is reconciled in note 14; the maturity profile of borrowings is shown in note 13.

13. Borrowings

Deferred tax is provided using the balance sheet liability method on temporary differences between carrying amounts and tax bases. Derivative financial instruments are held to manage interest rate, inflation and currency exposures and are not used for speculation.

£m	2026	2025
Other	1,489	448
Customer contracts	1,831	691
Accrued income	2,962	3,241

14. Net debt reconciliation

Retirement benefit obligations are measured using the projected unit credit method and discounted at the yield on high-quality corporate bonds. Financial assets are classified at amortised cost, fair value through other comprehensive income or fair value through profit or loss.

£m	2026	2025
Other	773	3,595
One to five years	1,032	3,153
Floating rate	1,053	1,559

15. Derivative financial instruments

Share-based payments are measured at fair value at the date of grant and expensed over the vesting period. Impairment reviews compare the carrying value of an asset or cash-generating unit with its recoverable amount.

£m	2026	2025
Other	1,927	196
Floating rate	1,488	2,377
Network assets	1,196	2,059

16. Fair value measurement

Provisions are recognised when the Group has a present obligation as a result of a past event and a reliable estimate can be made. Government grants are recognised when there is reasonable assurance that the conditions will be met and the grant will be received.

£m	2026	2025
Network assets	1,393	2,425
Assets under construction	435	2,919
Fixed rate	1,844	3,011

17. Financial risk management

Borrowings are initially recognised at fair value, net of transaction costs, and subsequently carried at amortised cost. The directors have a reasonable expectation that the Group has adequate resources to continue in operational existence for at least twelve months.

£m	2026	2025
Assets under construction	3,267	1,854
Accrued income	1,754	2,175
Prepayments	3,425	1,513

18. Leases

Contributions received from customers towards the cost of connections are deferred and released over the life of the related assets. The financial statements are presented in pounds sterling, rounded to the nearest million except where otherwise stated.

£m	2026	2025
Trade receivables	2,661	950
Index-linked	3,085	1,656
Floating rate	1,173	3,713

19. Hedging activities

Revenue is recognised when control of the goods or services transfers to the customer, at the amount the Group expects to be entitled to. Property, plant and equipment is stated at cost less accumulated depreciation and any recognised impairment losses.

£m	2026	2025
Software	472	1,415
Customer contracts	3,767	1,274
Fixed rate	4,146	3,645

20. Interest rate sensitivity

Where an asset is acquired under a lease, a right-of-use asset and a corresponding lease liability are recognised at commencement. Foreign currency transactions are translated at the rate ruling on the date of the transaction; monetary balances are retranslated at the year end.

£m	2026	2025
Software	643	837
One to five years	2,408	2,978
Accrued income	2,897	2,941

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NOTES TO THE FINANCIAL STATEMENTS

Notes 21 to 26 Provisions and pensions

21. Provisions

The consolidated financial statements have been prepared in accordance with UK-adopted international accounting standards. Inventories are stated at the lower of cost and net realisable value, with cost determined on a weighted average basis.

£m	2026	2025
Prepayments	2,094	4,196
Fixed rate	4,117	3,153
Network assets	939	3,823

22. Decommissioning obligations

Revenue is recognised when control of the goods or services transfers to the customer, at the amount the Group expects to be entitled to. Foreign currency transactions are translated at the rate ruling on the date of the transaction; monetary balances are retranslated at the year end.

£m	2026	2025
Software	3,256	755
Assets under construction	2,800	1,037
Fixed rate	3,126	3,383

23. Deferred tax

Where an asset is acquired under a lease, a right-of-use asset and a corresponding lease liability are recognised at commencement. Financial assets are classified at amortised cost, fair value through other comprehensive income or fair value through profit or loss.

£m	2026	2025
Network assets	119	1,993
After five years	2,956	3,359
Accrued income	3,379	2,003

24. Retirement benefit obligations

Property, plant and equipment is stated at cost less accumulated depreciation and any recognised impairment losses. Deferred tax is provided using the balance sheet liability method on temporary differences between carrying amounts and tax bases.

£m	2026	2025
Prepayments	2,430	752
Accrued income	1,801	523
Customer contracts	3,806	1,975

25. Pension scheme assets

The directors have a reasonable expectation that the Group has adequate resources to continue in operational existence for at least twelve months. Impairment reviews compare the carrying value of an asset or cash-generating unit with its recoverable amount.

£m	2026	2025
Within one year	3,060	2,577
Land and buildings	1,963	1,541
Fixed rate	1,140	137

26. Share-based payments

Borrowings are initially recognised at fair value, net of transaction costs, and subsequently carried at amortised cost. Share-based payments are measured at fair value at the date of grant and expensed over the vesting period.

£m	2026	2025
Network assets	749	301
Software	1,236	775
After five years	117	3,412

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NOTES TO THE FINANCIAL STATEMENTS

Notes 27 and 28 Share capital and reserves

See note 13 on page 48 for the Group's borrowings and capital management policy.

27. Called-up share capital

Property, plant and equipment is stated at cost less accumulated depreciation and any recognised impairment losses. Borrowings are initially recognised at fair value, net of transaction costs, and subsequently carried at amortised cost.

£m	2026	2025
Land and buildings	1,191	3,336
Software	1,439	926
One to five years	3,630	1,719

28. Other reserves

Government grants are recognised when there is reasonable assurance that the conditions will be met and the grant will be received. The directors have a reasonable expectation that the Group has adequate resources to continue in operational existence for at least twelve months.

£m	2026	2025
Network assets	360	1,112
Assets under construction	1,429	2,556
Deposits	1,785	2,246

Judgements and estimates are reviewed on an ongoing basis; changes are recognised in the period in which the estimate is revised. Impairment reviews compare the carrying value of an asset or cash-generating unit with its recoverable amount. Retirement benefit obligations are measured using the projected unit credit method and discounted at the yield on high-quality corporate bonds.

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NOTES TO THE FINANCIAL STATEMENTS

Note 29 Financial commitments and contingencies

29. Financial commitments and contingencies

Capital expenditure contracted for but not provided for at 31 March 2026 was £1,946 million (2025: £1,708 million).

The Group has given guarantees in the normal course of business. No material loss is expected to arise from these contingent liabilities. Further information on borrowings is given in note 13 on page 48.

Inventories are stated at the lower of cost and net realisable value, with cost determined on a weighted average basis. Where an asset is acquired under a lease, a right-of-use asset and a corresponding lease liability are recognised at commencement. Foreign currency transactions are translated at the rate ruling on the date of the transaction; monetary balances are retranslated at the year end. Deferred tax is provided using the balance sheet liability method on temporary differences between carrying amounts and tax bases. The financial statements are presented in pounds sterling, rounded to the nearest million except where otherwise stated.

The consolidated financial statements have been prepared in accordance with UK-adopted international accounting standards. Financial assets are classified at amortised cost, fair value through other comprehensive income or fair value through profit or loss. Share-based payments are measured at fair value at the date of grant and expensed over the vesting period.

The directors have a reasonable expectation that the Group has adequate resources to continue in operational existence for at least twelve months. Property, plant and equipment is stated at cost less accumulated depreciation and any recognised impairment losses. Borrowings are initially recognised at fair value, net of transaction costs, and subsequently carried at amortised cost. Government grants are recognised when there is reasonable assurance that the conditions will be met and the grant will be received. Depreciation is charged on a straight-line basis over the estimated useful lives of the assets, which range from 5 to 80 years.

Contributions received from customers towards the cost of connections are deferred and released over the life of the related assets. Revenue is recognised when control of the goods or services transfers to the customer, at the amount the Group expects to be entitled to. Retirement benefit obligations are measured using the projected unit credit method and discounted at the yield on high-quality corporate bonds.

Derivative financial instruments are held to manage interest rate, inflation and currency exposures and are not used for speculation. Impairment reviews compare the carrying value of an asset or cash-generating unit with its recoverable amount. Judgements and estimates are reviewed on an ongoing basis; changes are recognised in the period in which the estimate is revised.

Provisions are recognised when the Group has a present obligation as a result of a past event and a reliable estimate can be made. Retirement benefit obligations are measured using the projected unit credit method and discounted at the yield on high-quality corporate bonds. Deferred tax is provided using the balance sheet liability method on temporary differences between carrying amounts and tax bases. Government grants are recognised when there is reasonable assurance that the conditions will be met and the grant will be received.

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Borrowings are initially recognised at fair value, net of transaction costs, and subsequently carried at amortised cost.

NOTES TO THE FINANCIAL STATEMENTS

Notes 30 and 31 Related parties and post balance sheet events

30. Related party transactions

The consolidated financial statements have been prepared in accordance with UK-adopted international accounting standards. Inventories are stated at the lower of cost and net realisable value, with cost determined on a weighted average basis.

£m	2026	2025
Plant and machinery	2,335	2,689
Prepayments	830	401
Index-linked	1,004	3,457

31. Events after the reporting period

Contributions received from customers towards the cost of connections are deferred and released over the life of the related assets. Impairment reviews compare the carrying value of an asset or cash-generating unit with its recoverable amount.

£m	2026	2025
After five years	1,197	4,045
Fixed rate	1,046	3,373
Index-linked	3,274	3,317

The directors have a reasonable expectation that the Group has adequate resources to continue in operational existence for at least twelve months. Deferred tax is provided using the balance sheet liability method on temporary differences between carrying amounts and tax bases. Depreciation is charged on a straight-line basis over the estimated useful lives of the assets, which range from 5 to 80 years.

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Share-based payments are measured at fair value at the date of grant and expensed over the vesting period. Revenue is recognised when control of the goods or services transfers to the customer, at the amount the Group expects to be entitled to. Property, plant and equipment is stated at cost less accumulated depreciation and any recognised impairment losses. The financial statements are presented in pounds sterling, rounded to the nearest million except where otherwise stated. Deferred tax is provided using the balance sheet liability method on temporary differences between carrying amounts and tax bases.

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Other information

A five-year summary, a glossary of terms and information for shareholders.

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Five-year summary

Five-year summary of the Group's results, as reported. Figures for earlier years have not been restated.

£m unless stated	2025/26	2024/25	2023/24	2022/23	2021/22
Revenue	14,812	13,791	12,964	12,437	11,102
Underlying operating profit	3,127	2,864	2,611	2,452	2,203
Profit for the year	1,432	1,323	1,206	1,148	982
Net debt	21,466	22,718	23,402	23,877	24,215
Dividend per share (pence)	36.15	33.48	31.02	28.74	26.40

We held meetings with investors during the year, covering strategy, regulation, sustainability and governance. Shareholders can receive communications electronically and manage their holdings online through the registrar's portal. Unclaimed dividends can be reclaimed from the registrar at any time, and a reunification service is available for lost holdings. The Company has an active programme to help shareholders to avoid investment scams.

Shareholders who prefer paper communications can opt in by contacting the registrar. The Company's ordinary shares are admitted to the premium listing segment of the London Stock Exchange. Shareholders can receive communications electronically and manage their holdings online through the registrar's portal. The Company's ordinary shares are admitted to the premium listing segment of the London Stock Exchange.

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Glossary

Alternative performance measure (APM). A financial measure not defined by accounting standards, such as underlying operating profit.

Capital expenditure. Cash spent on acquiring or upgrading property, plant and equipment.

Distribution network. The lower-voltage wires and substations that carry electricity to homes and businesses.

Exceptional items. Items that are material or unusual in nature and are shown separately to aid understanding of performance.

Net debt. Borrowings less cash and short-term investments.

Regulated asset value. The value of network assets on which the regulator allows the Group to earn a return.

Scope 1 and 2 emissions. Direct emissions from our operations and indirect emissions from the electricity we purchase.

Transmission network. The high-voltage system that moves electricity over long distances between generators and distribution networks.

The Company's ordinary shares are admitted to the premium listing segment of the London Stock Exchange. The Company has an active programme to help shareholders to avoid investment scams.

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Shareholder information

Annual General Meeting: 24 July 2026 at 11.00am, at the Company's registered office.

Financial calendar: half-year results 12 November 2026; preliminary results for 2026/27 on 19 May 2027.

Registrar: Quayside Registrars Limited, PO Box 4410, Leeds LS1 9XX. Shareholder helpline +44 (0)800 555 0142.

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